



The relationship between leadership styles and a change process in a third party processor: A study of Processing International.

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Abstract

Recently, world's economy has been through lots of changes since the start of the global meltdown in 2007, when Lehman brothers as a financial institution collapsed and led the economy of the US and subsequently, the whole world, to a down turn. The way leaders have dealt with these economic changes affected many large organizations along with small and medium size (SME) ones. These changes spread across the globe with no exception, though their effect varied. One of the factors that influenced organizations was the way leaders handled these types of changes that they experienced.

The Middle East (ME) like any other region has its own operating model, which in many cases varies from those in Europe or in the US markets. However, the influence of leadership remains on all of them. Hence, the need to understand the way this factor affects the performance of organizations, especially during a change process.

The research took Processing International¹ as a Third Party Processor (TPP), which operates out of the Middle East region and serves customers across many other regions, to understand how leaders' behaviours could influence the employees and the organization overall. That has been done in this research using different tools to analyze and measure the way employees perceive their organization, and how influential is the role their leaders play in this area.

The research focused on measuring different leadership styles across Processing International from both sides; leaders themselves and their subordinates. Then, how these subordinates perceive the three main areas surveyed in this research; change process, satisfaction level, and organization performance. Linking the style of leaders in the organization with the perception created within each department indicates how different styles could influence the change process – positively or negatively – and how important it is to embark on the effective one to be adopted in similar circumstances.

¹The name of the company has been changed. 'Processing International' is a pseudonym.

In The Memory of the Revolution of the People of Egypt

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I confirm I have read the University regulations on plagiarism, and that this assignment is my own work.

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Chapter One

1. Introduction

1.1. Research Background.

Applying organizational changes is one of the critical tasks that an organization could experience, in which focus needs to be paid to all elements involved in this process, especially the people's factor. Today's competitive advantages of companies lays no more in their products, it is in their people (Ulrich, 2002). Hence, the need to understand how this important factor could be kept in harmony with any proposed change that could result in increasing employees' satisfaction level, as employees' commitment is highly attributed to the extent of how satisfied they are with their leaders (Taylor, 1998). Therefore, the influences of this part that leadership styles play in any organization, especially during a change process, is the main driver for this research.

People's part in this study does not only involve leaders, but it gets extended to their subordinates, though the role they play in the organization's success varies. Drucker's (1999) views in this areas could be extracted from his opinion that workers from all over the world prefer to work in the United States, not because of the high income they enjoy, but more for the way they are treated as colleagues, not as subordinates. That may not be the case always, but it is more of a highlight on how leaders' behavior could influence not only an organization, but the economy of a country.

The influence of leadership styles on people is highly noticeable during a change process within an organization. Many studies highlighted one or more of these factors that influence the process, though many did not focus on their effect on organizations operating out of developing countries. Taking in consideration that finding the right

calibers (people) in such countries is not as easy as it is in the developed ones, especially in a sophisticated business domain as in the third party processing business.

1.2. Problem definition

Many researchers such as Kanter (1982) and Pavett and Lau (1983) explained how important the ability to influence others on successful management is. Not only that, but also how committed employees are more motivated and dedicated to meet and achieve organizational goals (Pfeffer, 1998). Therefore, the impact of this motivation and dedication is of a great asset in a successful change process, which is normally linked to the way leaders handle situations on daily basis. Understanding the influence of such elements could be the beginning of improving the process, also it could help in introducing new ways to handle such changes effectively. Adopting the right leadership style that matches the situation in hand and suits a transition phase that an organization is undergoing is very critical. Its importance emerges from the influence that is greatly extended to every part of the organization; people, revenues.

As Processing International is experiencing a revolutionary change process across all departments and functions, it is important to verify the influence of the so called “people’s factor” on its performance during this period. The way adopted in this research has been carefully identified and the study focused on how far leaders could be accountable for the success of the implementation process, or else drive it to its failure. The importance of how leaders articulate their role in this process and the way they embrace it through adapting to the suitable style varies, in which some may take it as “business as usual” that could result in a catastrophic implications.

1.3. Objectives

One of the major challenges in a change process is to get the human factor to commit, which is the main driver for its success. The achievement of an organization is not only dependant on the utilization of its human capitals, but it is about how committed these

resources are (Nijhof, et al, 1998). The argument here is not about a sole factor that could bring about this commitment and dedication, but it is more about how Leaders could influence the outcome of this change process, especially through people. The aim of this research is to understand the relationship between leadership styles and a change process taking place in an organization, with a focus on the case of Processing International. In this research the following points will be addressed;

1. Review of theories around leadership and change and how interconnected they are.
2. The relationship between leadership styles and the change process in PI.
3. Is there a preferred style in bringing about an effective change in PI?

Many factors can influence the change process and the point is not to list them down, yet, to understand how effective the pattern that leaders possess during this phase is. The efficacy of leaders is not necessarily driven by a particular pattern or style, but it could be a result of couple of them or more. Finding the best-fit style is not an isolated equation that could be calculated without a holistic evaluation of the situation in hand or the requirements of the phase; a comprehensive examination shall be considered.

1.4. Research Philosophy

The nature of a research does not have to be dependant only on one method that seems appropriate at the time of initiating the study, due to the changing factors and the developing knowledge a researcher experiences. Nevertheless, the main philosophy this research adapting is the interpretivism, which aims to discover what is known as the details of situations to understand the reality or perhaps a reality working behind them (Remenyi et al, 1998). A twist of positivism methodology, in which there will be an emphasis on a highly structured methodology to facilitate a replication on the quantifiable observations out of it (Gill and Johnson, 1997) will be used to balance the research approach.

The nature of interpretivism philosophy depends on the different interpretations that humans may adopt for typical situations according to their own views. The complex nature

of this study influences the route to be taken; hence, interpretivism is the main method of this research. Nevertheless, the researcher is aiming to formulate a typology of the most preferred leadership style (s) that may be adopted during a change process within a typical third party processor that operates out of the Middle East. The way to achieve so is through trying to form a law-like generalization that could be of a help to others with similar conditions (Remenyi et al, 1998), which is achievable through Positivism approach.

Chapter Two

2. Literature Review

2.1. Introduction to Leadership

While leadership could be perceived as the process of influencing others to know what needs to be done effectively (Yukl, G., 2010), it can also be interpreted as the extend of convincing others to change their views of what is possible and desirable (Zalzenik, 1977). The role of leaders is also important to get followers act for a certain goal – like change – that presents the motivations and the values of both parties (Burns, 1978). Despite many interpretations for this term, yet it presents a major challenge to practitioners and researchers interested in understanding its nature (Northouse, 2001).

Other researchers perceived leadership as the process of influencing a group to move towards a specific goal (Roach and Behling, 1984; and Hseih, 1993). Yet Bass's (1997) view about this part is that leadership is hard to have one specific definition that can be generally accepted. Hence, the flexibility of the term could create enough room for many to keep examining it in their own ways, and yet to be wrong in their conclusion, though some may not be in consensus with each others.

2.2. Leadership; Traits.

An effective leader should possess a certain characteristics, though they vary, still some agreements took place on such traits. Higgs (2003) along with Alimo-Metcalfe and Alban-Metcalfe (2006) agreed on some common characteristics that differentiate leaders from other employees such as: authenticity: being honest and consistent, integrity and decisiveness. Nevertheless, Metcalfes identified other two traits; inspiring others and ability to solve complex problems. On the other hand, Bernard (cited in Louis, W.R., 1984)

stated another trait that affect leaders; intellectual capacity. The questionable argument in such approaches is that people may be naturally lacking some traits or born with them.

While early studies of traits' theories concentrate on identifying the personality traits which characterized successful leaders (Argyris, 1995; Mahoney et al., 1960), it assume that successful leaders are 'born' and they have certain innate qualities that distinguish them from others (Stogdill, 1948). Though, it is debatable due to the difficult nature of measuring and categorizing such human characteristics.

A different viewpoint has been adopted by Blake and Mouton (1964) through their managerial grid (later known as leadership grid). They developed this concept that ties up leaders' responses to two main factors; people and task; leaders may combine being task and people oriented, driven by one domain and not the other, or even by none of the two factors.

Some of the other interesting theory that is focused on the aspects of leadership – situational - is that of Hersey and Blanchard. In this approach leaders mainly move a cross different styles according to the task or situation in hand (Hersey and Blanchard, 1993). The exhibit below [1] explains how leaders could be less supportive and directive by delegating what they have in hand, or having a high supportive and directive behavior by coaching their subordinates. They could be also behaving in a less directive and a high supportive way – supporting, or high directive but less supportive – directing.

Exhibit 1: Situational Leadership model



Sources: Hersey and Blanchard (1993) Management of organizational behaviour.

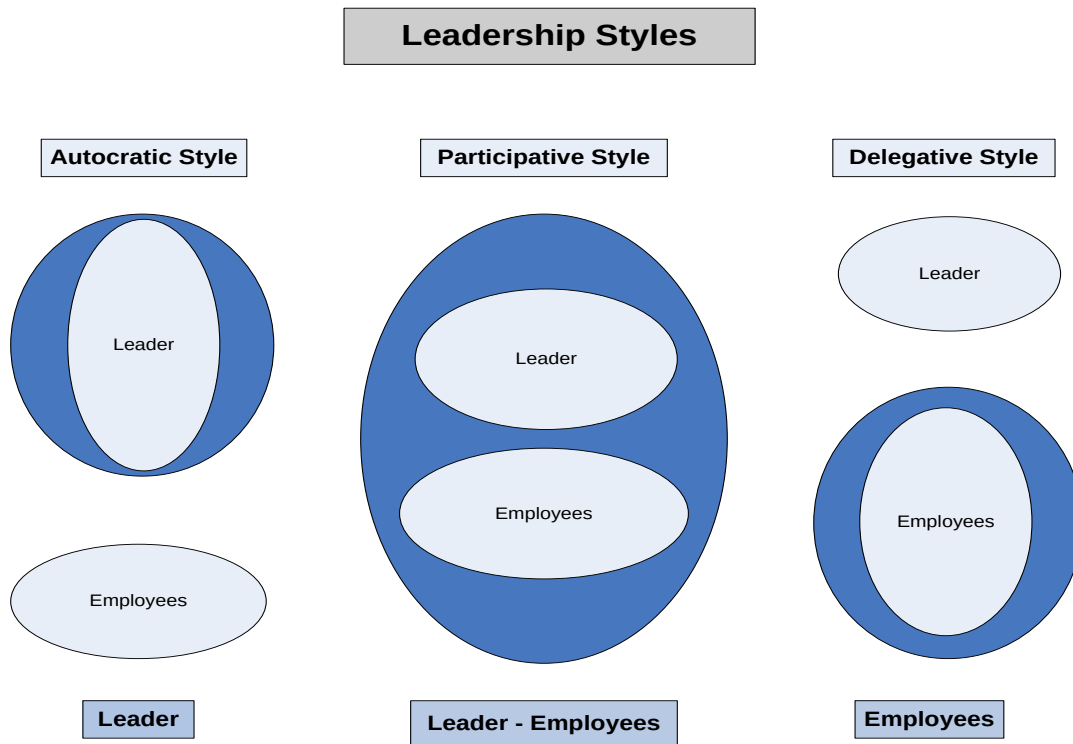
2.3. Leadership Styles

Based on the work carried by Tannenbaum and Schmidt (1958) which classified leaders according to their leadership style, the below exhibit [2] has been developed to show how these three main styles – Autocratic, Participative and Delegative - could influence the act of subordinates. What fits the most is questionable, especially when it comes to the Middle East. Is it the classic dictating style (leaders do), the free-reign or the delegative one (employees do), or the participative style (both do)? Taking a change process in mind, leaders need to manoeuvre according to the requirements of any given situation.

The argument to be made here is that different organizations, cultures and people require different leadership styles. Therefore, it is advisable to consider many factors before concluding the suitable or best-fit style for any organization, or even in a certain phase that an organization is undergoing. Fundamentally, leadership style is that one which employees are mostly comfortable with. The dependencies may be on the values, personality, or the comfort that subordinates are allowed to participate in the decision-making process. Several theorists have shown that leadership through setting a good example could increase the cooperation in groups since followers tend to reciprocate leaders' behaviour in their choices (Vesterlund, 2003; and Potters et al., 2001). A thorough examination of leadership indicates that there is a link between organizations' performance and leadership styles (Bycio et al., 1995 and Howell and Avolio, 1993).

As there is no such a perfect theory, especially in dealing with variables; human related activities. Many debates rose around leadership styles as they tend to ignore the important role that situational factors play in determining the effective leader (Mullins, L., 1999). Therefore, the situation along with the nature of the organization shall play a role in determining the suitable leadership style, not to forget the characteristics of its people.

Exhibit 2: Leadership Styles



2.3.1. Autocratic Leadership Style

The notion of Autocratic leadership style has been through many examination from both side; followers and leaders. White and Lippitt (1960) distinguished this type as it implies a high degree of control by leaders without much freedom and participation of group members or followers. Autocratic leaders in most cases tend to be personal in their praise and criticism of the work of employees, yet remain aloof from active group participation. Others perceived autocratic leaders as those who depend on their power to coerce and their ability to persuade (Bass, 1990). They also intend to solve any problem that the group faces by themselves by using the information available at the time (Hughes et al., 1994). These views put autocratic, authoritarian and undemocratic leaders in the same pool (Gastil, 1994).

In this model, leaders are mainly the centre of the decision-making process power, which could be translated to a directive ordering mechanism. Whether it is good or bad, followers in such situations are not encouraged to question the decision of their leaders, which is one of the main criticisms that this style faces. Nevertheless, it might be good for situations require a fast decision making mechanism, as there is no room for other to have inputs; it is a one man show. That in many cases prevents creativity or any other notion – which could be better – to evolve.

Examining this style in many cases tend to measure it from what it prevents and how followers in many cases do not feel happy about it. However, there is a need to explain the advantages and disadvantages of this style to understand how it could be best fit for certain situations;

Advantages;

- Faster turn around time for decision-making process, when it is required.
- Take charge of group work, when they do not have enough knowledge to do so.
- During stressful time, people may prefer to rely on the leader to direct them.

Disadvantages;

- Creativity or innovation is highly neglected, due to the single-way communication channel.
- Group member are in many cases left un-developed.
- Wrong decisions could be adopted by the single empowered leader.
- Leaders with less knowledge may drive the organization towards risky situations.
- Followers tend to be more dependant and lack team work spirit.
- Autocratic leaders tend to get involved in all daily tasks, which may lead to negligence in the importance of their strategic role.
- Work is entirely depended on these leaders, which is risky if they are not around.

2.3.2. Participative Leadership style

The definition of participative leadership is dynamic and abundant, similar to this of “leadership”. More than 29 different definitions have been identified from 1938 to 1985 (Bass, 1990). These many notions and perspectives contributed to have unclear definition of participative leadership style (Gastill, 1994). It could be looked at as the emphasize group participation, discussion, and group decisions encouraged by the leader (White and Lippitt, 1960). Though, others perceive participation as the core function of democratic leadership (Luthar, 1996). Still, participative leaders could be defined as those who share decision making with other members of the group (Anderson, 1959; Bass, 1990; Chemers, 1984). Therefore, participation is considered as the core characteristics of democratic leadership, in which the ideal of democratic leadership is friendly, helpful, and encouraging participation (Luthar, 1996).

Members’ satisfaction and nominations for leadership are greater under democratic leadership (Bass, 1990; Stogdill, 1974). Not only that, but followers’ productivity, satisfaction, involvement and commitment are increased under this leadership style (Hackman and Johnson, 1996). Democratic and autocratic leadership styles have been viewed as integrative versus dominative, employee centered versus employer centered, participatory versus supervisory, and nondirective versus directive (Anderson, 1959). Some of the equivalent or alternative styles for democratic leadership could be; participative, servant, transformational, or non-constitutive styles (Gastil, 1994).

Lewin and colleagues’ study of leadership styles generally considered participative leaders – also known as democratic leaders – as the most effective style (Lewin et al., 1939). However, with the dynamics in current market conditions, this is very questionable. This style like any other one has its merits and demerits, in which some of them are as follow;

Merits;

- Leaders usually offer guidance to their subordinates.

- Subordinates are involved in most activities and participate in the decision making process.
- Group members feel engaged in the process.
- Creativity and innovation are more likely to evolve.
- Members mostly feel motivated by the challenges they face doing their part.
- Knowledge is enriched within the group through consultation of each member.
- Professional growth for members is more likely to happen.

Demerits;

- Decision-making takes a longer time, and it could be hard to reach a consensus of what is the right decision.
- Members with different maturity and knowledge will have the same input to decision making process, which may result in low-quality outcomes.
- It is not suitable in situation with less-matured members or fresh graduates.

2.3.3. Delegative Leadership Style

Delegative style as the third leadership style getting examined is also known by the Laissez-faire, or permissive style. Unlike the previous two styles, leaders who are adopting this style are generally not involved in the operations of the group and mostly hold a silent role (Liu et al., 2003). The dependency of its effectiveness could be measured according to the communication flow within the group. If delegative leaders are not clear, members of the group could be frustrated and confused, which might lead to unsatisfactory performance. Its efficiency evolves from the clear and meaningful commands between leaders and members (Norrgren, F. and Schaller, J., 1999).

Delegative leaders usually offer little or no guidance to the group members, giving them the freedom of producing their own decision; whether right or wrong. Although people or groups who share decisions that affect their working life, the more they are motivated to carry it out (Adair, 2003). Yet, lack of experience or maturity could put the whole process in

danger. Hence, leaders shall keep in touch with their staff for support and guidance (Heller, 2000). While this style could be effective in situations where group members are highly skilled and qualified in an area of expertise, it may lead to poorly defined roles or lack of motivation.

This style represents the opposite of Authoritarian leadership style, where there is an absence of real leadership and every one is free to do what is acceptable from own viewpoints. In this style, the undefined goals and absence of guidance are usually leads to a state of confusion, especially with new members or those who are not mature. Like any other style, there are upsides and downsides which some will be summarized hereunder;

Upsides;

- More likely to produce potential leaders
- Embrace creativity and novelty.
- Subordinates are empowered to take decisions.
- Subordinates may feel motivated by the devolution of power that could enrich their job.

Downsides;

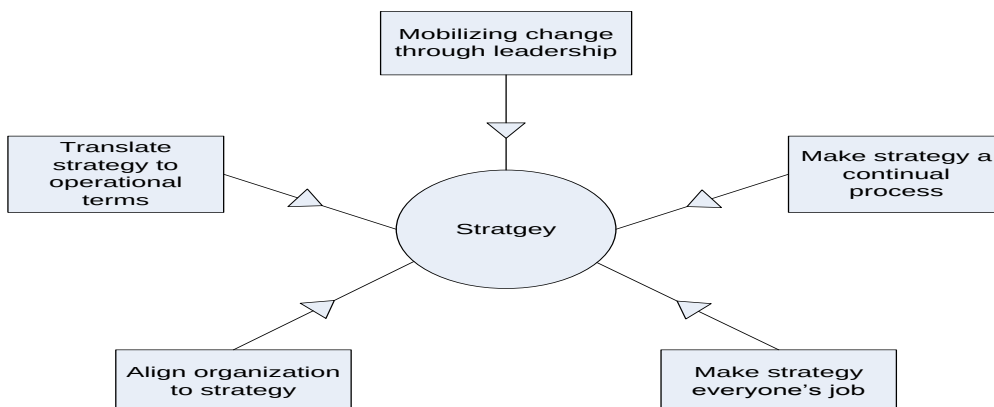
- No coordination within the group, which may lead to unstructured work.
- Subordinates who do not have enough expertise may feel lost and less motivated.
- Not suitable in crisis times.

2.4. Strategic Leadership

While organizations strive for excellence, they need to keep in mind how their employees perceive their strategy. Surprisingly, researches show that less than five percent of a typical workforce in organizations understands their organization's strategy (Kaplan and Norton, 2001). The importance of such move could be clearly seen during a change process in an organization. Hence, the need to focus on the way organizations are intending to create an acceptable awareness level of the new strategy that they are going to adopt. Kaplan and Norton (2001) observed five common areas that a strategy-focused organization has [exhibit 3]:

1. Translate strategy to operational terms through strategy maps
2. Align the organization to this strategy through corporate roles and internal synergies
3. Make strategy everyone's job through awareness and reward schemes
4. Make strategy a continual process through strategic learning and analysis
5. Mobilize change through executive leadership by strategic management system

Exhibit 3: Principles of strategy-focused organization.



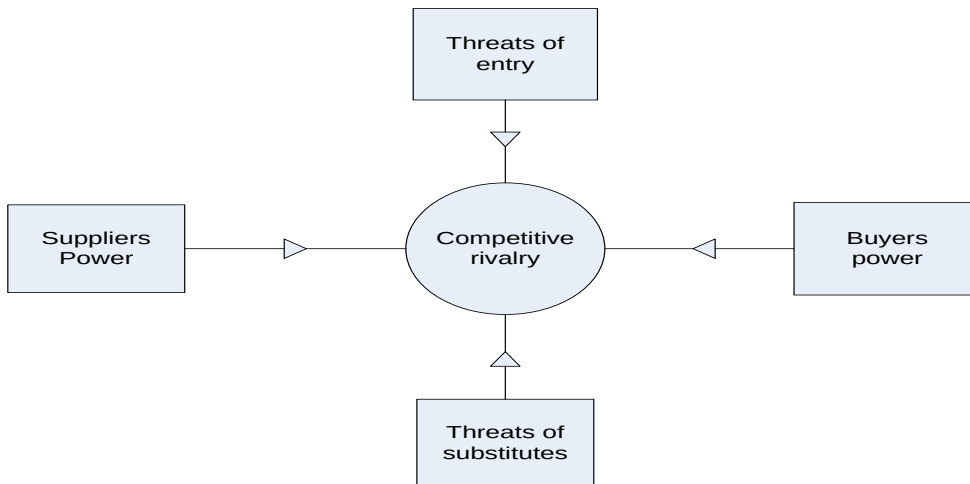
Source: Kaplan, R. and Norton, D. (2001) the strategy-focused organization.

The previous model is close to the one adopted by Nohria and colleagues, where they identified four elements that a successful organization has to acquire. These set of elements are of a great importance when an organization is going through a transition phase. The way to do so is to start by having the strategy in place accompanied by a vision of how to execute it, which shall be in concurrence with organization's culture and structure (Nohria et al., cited in Beer, 2009:207). Applying any of the previous frameworks requires lots of efforts and collaborations from both change agents and employees. Also forming a strategic thinking requires a development of unique opportunities to create value by enabling proactive and creative dialogue among decision takers (CFAR, 2001).

Change process in any organization – especially a third party processor – requires a full understanding of many aspects that influence its performance. Porter's five forces model can be of a great help in this case. His five forces' framework could enable such organizations to have a good understanding in assessing the attractiveness of their industry and identifying the source of competition (Porter, 1998). The traditional focus on direct competition could be of help but to a certain extent. However, organizations deal with customers need to have more broad perspective, especially with current market dynamics. These five forces [exhibit 4] explain the different dimensions that organizations need to pay attention to in such situation. These dimensions are:

1. Threat of Entry: how organizations can lose in entering into another market if they are not ready for it.
2. Threat of Substitute: in case of third part processor (TPP), what other options that customers have, which can replace the offering of a TPP.
3. Buyers' Power: are customers in a certain market enjoys an upper hand over suppliers.
4. Supplier's Power: to what extend suppliers control the market.
5. Competitive rivalry: how aggressive is the competition from other competitors.

Exhibit 4: Porter's five forces framework



Sources: Johnson et al. (2005) Exploring corporate strategy: text and cases

2.5. Leading for Change

While organizations benefit from a change when they anticipate it, many fail to accept the need to do so (Hayes, 2002). In some cases they may put the paradoxes of success into failure (Nadler and Shaw, cited in Hayes, 2002). Two theories explain the drivers for any organization to go through a change process; Theory O and Theory E (Beer and Nohria, cited in Holbeche, 2006). An organization could be forced to apply changes by one of two; shareholders or the economy (theory E) or it could be driven from within (theory O). On the other hand Senior and Fleming (2006) identified other considerations for a change process;

- Demographic
- Life style
- Occupational
- Employment policy
- Operating policy

Isaksen and Tidd (2006) have taken a different route in their change process framework, as they were more focused on the process of bringing about change, not its drivers. explained in their process how to bring about change through the following;

- Methods: the way organizations do things in a specific way.
- Models: How the structural design is set to visualize others.
- Tools: the instruments used to implement the change itself.
- Technique: the technical details of the change process.
- Process: the procedures and the way in which change shall occur.

On the other hand, Senior and Fleming (2006) focused on the strategic aspect of managing a change process. They have identified systematic approaches to manage change:

- Describing the situation
- Finding the options
- Implementing the best option

Others like Hayes (2002) identified similar steps to manage the change process in organizations. Similar to Senior and Fleming, the start here is about understanding the issue / opportunity in hand, followed by a desire to bring about change, and then implementing it. Applying a change process could be done by adopting Lewin's simple three stages' approach; unfreeze, applying change, re-freeze (Lewin, Cited in Pathak, 2011:36). A good explanatory example for this approach is to imagine that there is a need to change the shape of an ice cube to a cone. The ice cube needs to be unfrozen first, changing the shape into a cone, and then freezing the new shape.

The need for change is mainly driven by the changing nature of dynamic markets, technologies and competitive landscapes (Beer, 2009:195). Therefore, globalization and competition could be considered as main factors to drive change (Holbeche, L., 2006). Change itself can happen in three main forms; traditional, emergent, or transformational (Carnall, 2007). Though, it could happen in an incremental (emergent) or episodic (divergence) form (Weick and Quinn, cited in Hayes, 2002: 51).

Managing a change process in the short-term to achieve and sustain the long term high performance goals is what known as the art of successful change (Holbeche, L., 2006). Hence, the importance of leading changes through an appropriate strategy. John Kotter (2006) identified eight-stage approach to lead a successful change process;

1. Establish a sense of urgency
2. Form a powerful guiding coalition
3. Create a clear and compelling vision
4. Communicate the vision
5. Empower others to act
6. Create short-term wins
7. Consolidate and build
8. Institutionalize the new approach

Simpler three-stage approach to lead for change has been identified by Black and Gregersen (2002):

1. Conceiving: the ability to visualize the way forward and the future for this change process
2. Believing: having the trust in the people and tools involved in the change process
3. Achieving: implementing the required change.

Leading the change process cannot only happen through the framework that organizations adopt; change agents are the corner-stone of this process. Change agents' importance comes from their role in this process. From coaching individuals throughout the whole process, to offering of creative ways in problem-solving passing through the ability to resolve emerging conflicts (Isaksen and Tidd, 2006). Brett, C. (2010) identified six characteristics that a successful change agent has to possess;

1. Low anxiety level
2. Emotional stability
3. Action oriented
4. Confidence
5. Openness
6. Risk tolerance

A different approach has been adopted by Buchanan and Boddy (1992). In their approach there are five clusters that hold the sum of 15 different competencies a change agent has to possess:

1. **Objectives:** Sensitivity, Clarity and Flexibility
2. **Roles:** Team building, Delegation, Networking, and Tolerance to ambiguity
3. **Communication:** Communication skills, Interpersonal skills, Personal enthusiasm, and Commitment.
4. **Negotiation:** Selling skills and Negotiation with key players
5. **Managing-up:** Political awareness, Influencing skills, and Helicopter perspective.

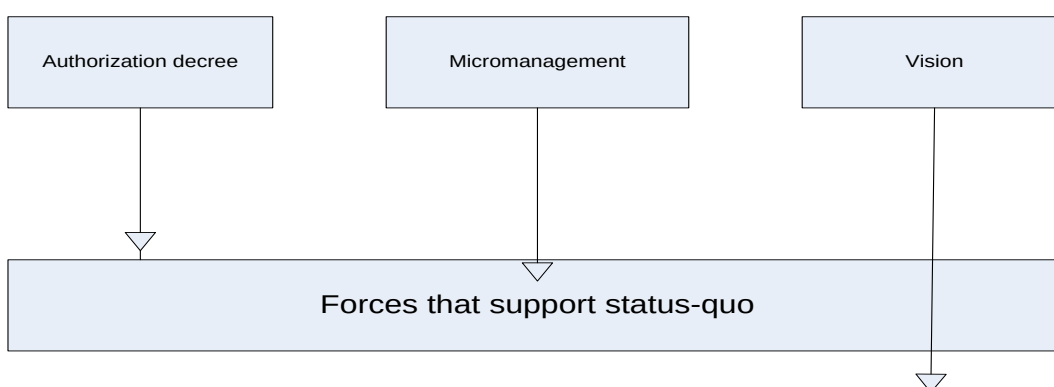
Brett is not the only person that highlighted how important the role of leaders is. Holbeche, L. (2006) also admitted that leaders are pivotal in the implementation of a change process; whether by creating supportive atmosphere or by believing in the importance of people's role. Therefore, leaders need to prepare themselves to carry on this task, even if they never experienced that before. Carnall's (2007) four steps is a good framework that can be adopted to do so:

1. Know themselves.
2. Acquire the knowledge required to understand different situations they may be involved in.
3. Identify who can help in this change process.
4. Develop their self-esteem.

People are not in need for heroic figures to lead them, unless they can prevent a disaster from happening (Yukl and Lepsinger, 2004). Leadership is about decisions and activities, which is process oriented and substantive in its nature (Boal, cited in Hooijberg et al, 2007:81). Therefore, leaders could be held accountable for almost half of the variance in performance observed across an organization, whether it is direct or indirect (Isaksen and Tidd, 2006). It does not mean that leaders are super heroes; it is even arguable that they can do extraordinary things in organizations.

Though effective leaders need to manage both peers and subordinates to have effective participants in the change process, appropriate organizational structure should enable that through an appropriate management (Carnall, 2007:27). Though leadership occurs when leaders attempt to influence others, subordinates will not give them their best if they are not perceived as trust-worthy. Hence, leaders are required to engage their followers during the phases of this process. Involving followers and communicating to them the vision and the need for change helps in reducing the resistance to change process (Kotter, J., 1996), while it increases if leaders started to micro manage and dictate their views [exhibit 5].

Exhibit 5: Breaking through resistance with vision.

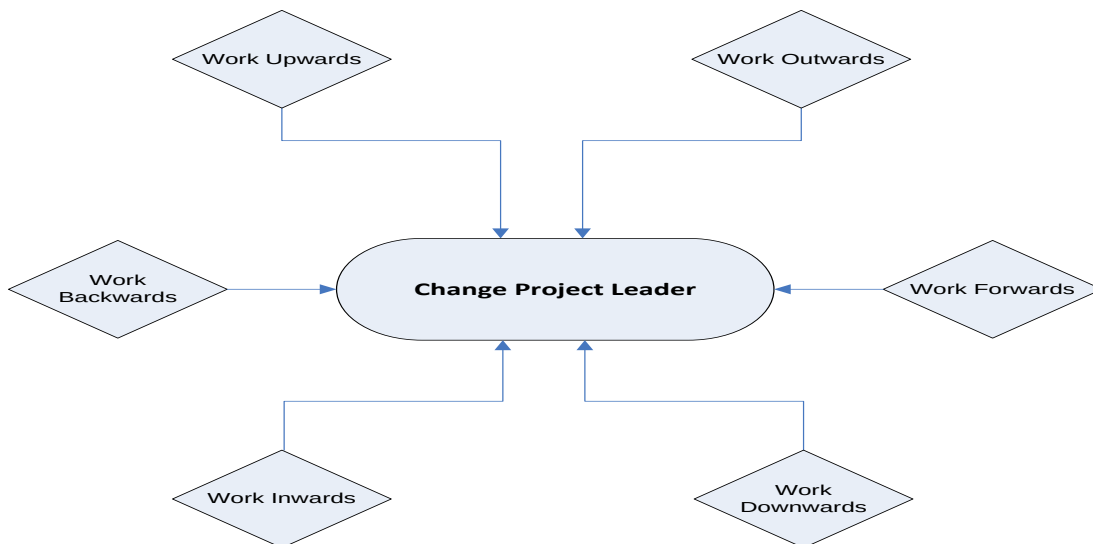


Sources: Kotter, J. (1996) Leading change.

Change agents should have the ability to identify the proper skill they need according to the situation in hand. Briner et al (1996) explained through their framework the different

dimensions change leader has to handle; clients and sponsor, managing subordinates and oneself, and planning followed by reviewing and control of change process [exhibit 6].

Exhibit 6: Change Project Leadership.



Source: Briner et al (1996) Project Leadership.

2.6. Culture and Change

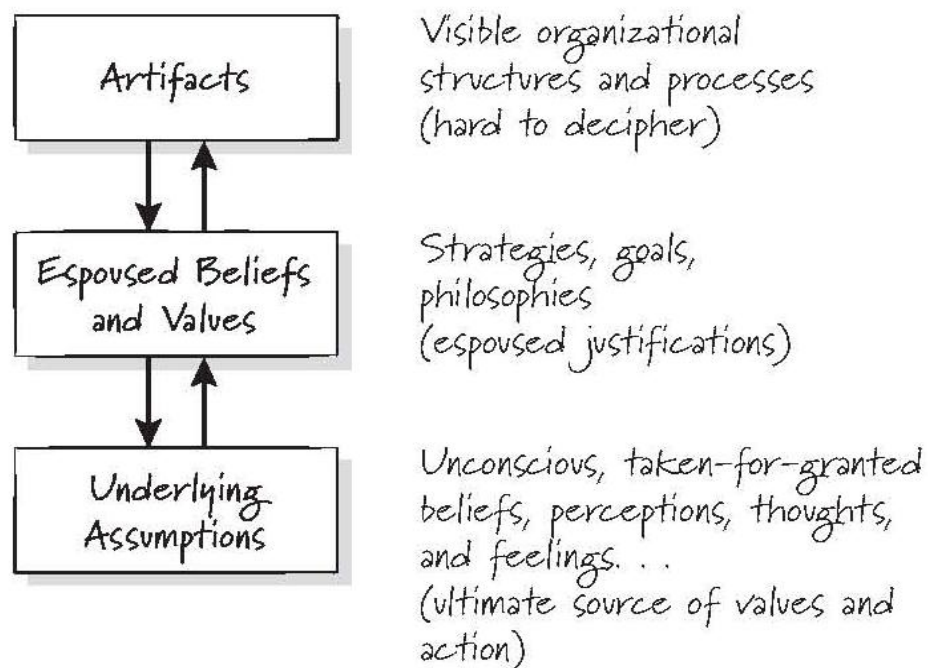
Despite the difficulty of getting a consensus about what culture is about in organizations, its effect on the change process is undeniable. It can be looked at as set of beliefs of the way work should be done, authority exercised, people controlled or rewarded within organizations (Handy, C., 1985). Its importance emerges from the way it influences shared mental assumptions and guides interpretation and action in organizations by defining the appropriate behavior in various situations (Hill, C. and Jones, G., 2010).

Change process could be introduced whether in a revolutionary manner or in a sequential move. Nevertheless, culture as basic assumptions learned by employees that solve their problems of external adaptation and internal integration (Schein, E., 2010) is a pillar that sometime gets neglected by change agents. While culture is the way things get done in an

organization (Bower, 1996), leaders usually forget to explain the reason behind choosing a certain route to apply change.

Understanding the importance of culture and its influence over organizations, especially during a change process signifies the odds of having a successful implementation. This role could be better understood if we carefully examined the three levels that Schein (2004) introduced as the elements of culture [exhibit 7]. His three main levels; artifacts, espoused beliefs and values, and underlying assumptions, explains the nature of the relationship between culture and change. Promoters or change agents have to pay attention to how espoused beliefs – strategies, goals, justifications – could be a maker or a breaker for a change process.

Exhibit 7: Three levels of culture



Source: Schein, E. (2004: 26) Organizational culture and leadership.

While organizational culture is influenced by the culture of the society where it operates (Hofstede et al., 2010), development stages in this organization along with industry regulations influence values that are emphasized in its culture (Cameron and Quinn, 2006).

Therefore, associating existing culture in an organization is profound and that could be found in any of the below dimensions adopted by (Hofstede et al, 2010):

Power distance

Collectivism vs Individualism

Femininity vs Masculinity

Uncertainty avoidance

Long term vs Short term orientation

The operating model in the Middle East – where PI exists – is greatly influenced by some of these dimensions. Power distance as an example is highly presented in this region than the USA or Europe (House et al., 2004). Not only that, but also the way employees in this region perceive leaders differ from the way others could do in other regions or countries (Den Hartog et al., 1999). Therefore, leaders in a cross-culture organization must have the ability to understand how people from different cultures interpret and understand their roles and those of leaders (Deng, L. and Gipson, P., 2008).

Chapter Three

3. Methodology – Research Design

3.1. Secondary Research Methodology

Many authors have examined leadership with its different aspects for many years. Therefore, the difficulties of finding the suitable materials that are relevant to the research and presents different viewpoints as one of the main pillars to this research requires much attention.

Despite the fact that this research is about leadership styles in conjunction with their influence on a change process. The topics examined extended to some other areas; change, culture, and employees' satisfaction level. As the need to understand the different factors that affect the change process in the organization is not limited only to one element, it is hugely extended to many others, in which some could be the base of further researches.

Leadership as the focal point in this research has been widely examined through many authors; from the definition of the term to its conceptual nature. Understanding the term leads and examining its different aspects with the way it is evaluated, is one of the main areas that this study is highlighting. Hence, there was a need to search for different views that perceived leadership styles and the traits of those who possess it. The way to achieve that is through a vigorous analytical presentation of many theories that examined this area. Though leadership style is an area that requires many researches in itself, the nature of this study requires more than just examining it solely. Therefore, other theories that links leadership styles and traits to the reality of running an organization has been taken into account.

Leadership styles are not isolated from other dynamic factors exist in any organization; they are inter-linked and correlated to each others. Whether we are examining change process, culture or leadership styles, all together are meant to assist organizations with their people to deliver better outcomes in the future. Without forgetting the human nature and its influence in the whole process, whether, they are leaders or followers.

Theories and previous researches that have been referred to in this study varied in many way, some were used to examine different regions, other types of organizations, and at different

times. The materials used are diversified and authors of different views got examined and introduced in this research, which is mainly to enrich the study and widen the scope that could be used to look at any of these areas. However, the modern authors / researchers were widely used along with some other online and current resources. The value creating process in this study was dependant on mixing historical / old theories blended with modern and current resources, which is mainly adopted to explain the development of the term and how important it is to be open to different viewpoints. Doing so enabled the researcher to have a more flexible attitude towards the findings and not be controlled by the cognitive maps, which usually hinders the process of being open to different approaches.

The collated materials used in this study were of a great help in understanding how these theories developed, yet the discrepancies found in the notion that many authors adopted triggered a critique attitude towards any given theory. That helped in digging towards the findings through own researches with no bias from previous viewpoints. Not only that, but the materials used were mainly to present a chronological evolution of both previous data and own findings – whether they are in synch or they differ.

3.2. Primary Research Methodology

The study examined different leadership styles of selected leaders at Processing International as an example of a third party processor (TPP), Along with their followers. The outcomes of the examination process are meant to identify the typical leadership style that leaders in PI Possess and in general the overall organizational one. These primary data in conjunction with the secondary resources are to form the research findings and conclusions; from a theoretical stand point a long with a practical emphasis.

Most of the selected leaders (n=10) are members of the executive committee (EXCO) in the organization. PI operates out of three main countries in the Middle East region; UAE, Bahrain and Egypt. Selected leaders are heading different departments across various functions, which gave a wider range for the examined sample; at the same time being approachable was also in considerations. Identifying the different leadership styles was mainly dependant on the framework developed first by (Lewin, K. et al, 1939) and adopted by many others for the past 50 years. The questionnaire was chosen for its extensive usage in leadership researches

and its previous usage by the researcher across other academic papers. This questionnaire classifies leaders according to the style they possess; Autocratic, Participative or Delegation.

The leadership style's questionnaire is a 30 question-based tool that measures different activities pertain to the way leaders act and / or think in their daily work place. The outcome of each questionnaire was taken and analyzed on a Microsoft excel sheet to measure the score of each of these three styles, then identifying which is the dominating pattern for each leader. Those who score less than 25 point in any of the styles are far from using it. However, the styles score 30 points or more are usually the ones that used by these leaders.

The other tool has been developed by the researcher and used to measure different factors with followers. This tool / survey targeted the employees working under the umbrella of each selected leader, which are the other pillar of the primary data. Selected subordinates (n = 76) represents all types of employees in PI, and they are located in different offices. Pilot surveys have been introduced for almost two weeks to measure the areas of improvement needed and to land on the final one which has been used in this study. This survey examined three main areas that influenced employees during this change process in PI; Change Process, Satisfaction level, and Leadership style. The first area – employees' satisfaction level – is scored minimum with three points and highest with nine points. Any employee that scores six or less points is considered below average, for those who exceed six points are considered satisfied with PI during this phase. The other area measured in this survey is the undergoing change process; five questions are set to measure the responses of each selected employee. The lowest score is five points, highest is 15 points. Though, any score with 10 and below is considered to reflect that an employee perceives the change process in PI as a less successful one.

Along with the above mentioned areas, there is another one, which is meant to verify the way these employees perceive their leaders' style. It contains nine questions that measure leadership styles of their leaders; each three questions represent one style – Autocratic, Participative and Delegation, which is based on the work of (Tannenbaum and Schmidt, 1958). The lowest score for each grouped questions is three, the highest is nine. The highest score in each of the three grouped questions is the dominating style of the leader of the researched employee. After getting the responses of each group that are led by one of the 11 examined leader, an average of the of total scores in each grouped questions will be

considered to identify the pattern of this group's leader – from their own perspectives, which can vary from the way leaders perceive their leadership style.

3.3. Limitations

The researched sample in this study is limited to 11 leaders and 76 employees of Processing international. Therefore, the findings of this research are limited to the viewpoints and perceptions of these researched personnel and their own experience in that third part processing field. The rating of leaders and their behavior during this study may be influenced by the nature of the change taking place and sensitivity of the phase, especially when it comes to self-perception. That said, the outcome of this study may be limited to their own views and the nature of PI's business, in which it may not be applicable to other type of organizations. Not only that, but also the cultural diversity and the regional circumstance in which PI operates limit the outcome of this study.

One of the two main groups that got examined in this research is the subordinates of those leaders, where there may be a tendency to answer the survey in a way that they think leaders may be happy with, not the real feedback. Some of the limitations from subordinates' side that would be envisaged in the course of this study are as follow;

- Sensitivity on the part of some respondent in giving company related ratings.
- Reluctance of respondent to answer survey questions accurately.
- Fear of intimidations by respondents from their leaders to speak the truth out.
- Changing nature of organizational structure during the course of this research.

Despite the limitations addressed above, it should be noted that studying leadership from this angle would benefit organizations operate in this region or in similar circumstance. Researcher also considered these limitations; hence, there was an assurance to all selected respondents that their responses will be kept anonymous and confidential, which was a way to overcome employees tendency to inaccurate responses.

3.4. The Analysis Methods

The first set of questionnaires focused on classifying leaders according to their styles. Leaders responses were captured in a Microsoft excel, the spreadsheet measured the response of each selected leader in the three areas; Autocratic, Participative, and Delegative. Each leader scored in the three areas, accordingly, the style in which s/he possesses is the one scored highest. For the ease of usage, researcher has adopted a method that shows the percentage of each style. While the three styles collectively presents 100%, each style takes a portion of the full pie. For example; Head of Projects score in Autocratic, Participative and Delegative is 29.7%, 44.5%, and 25.7%, respectively. His dominating style is by far the participative, while he holds the lowest in the delegative one.

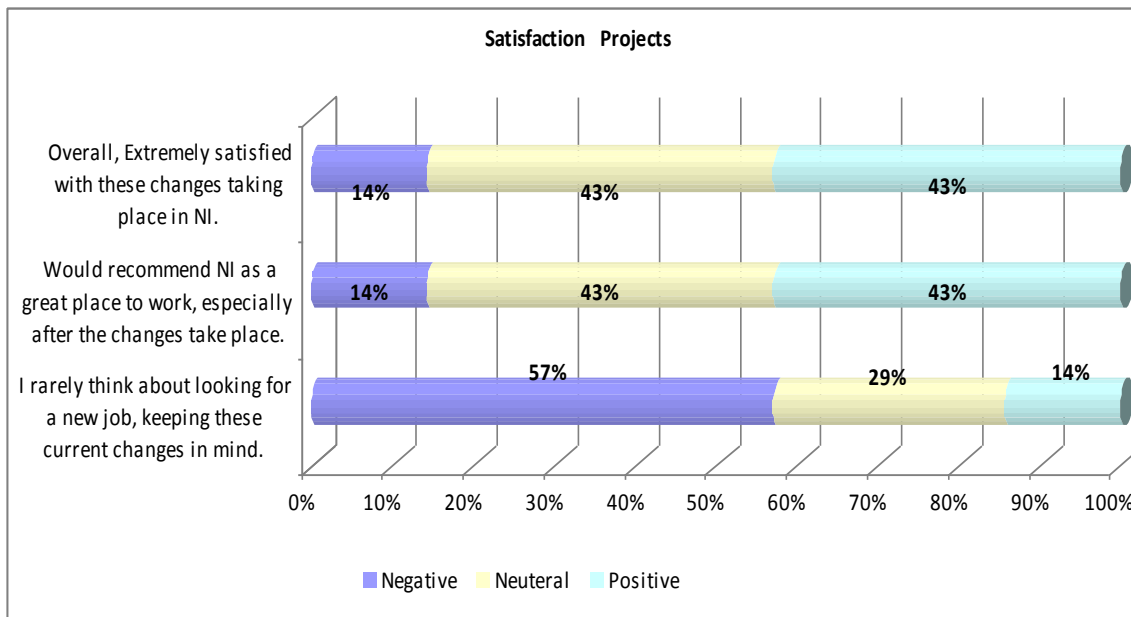
The second research tools which been used was the surveys; subordinates measurements and evaluation tool for leaders and the organization. The analysis of the surveys took place in two different ways; the two main domains (change process and employees' satisfaction level) along with leadership styles. The survey meant to measure how subordinates perceive their leaders, and how they see the undergoing change process in the organization. Selected subordinates classified their leader's style, which was not in many cases in consensus with the way leaders perceive themselves. The way employees rated their leaders were based on nine questions, each group of three questions presents a typical style (Autocratic, Participative, or Delegative). Employees can rate their leader in each of the questions - one, two or three - on a scale of 1:3. The total of each group (three questions) presents the score of the leader in this style, and then the average score of all respondents gets measured to present the dominating leadership style for this leader (according to his / her subordinates).

The first dimension (leadership styles) were measured through an Excel sheet which replicated the methodology used with leaders themselves, but in amore simple way. The Leadership style's area in the survey had nine questions, each three represents one style. The scores allocated according to the responses of subordinates of each leader. For example, surveyed Projects' team member score for their leader's style is 33.8%, 31.5%, and 34.6% in the Autocratic, Participative, and Delegative, respectively.

The two main domains which have been examined through the subordinates' survey measured on an Excel spreadsheet. Each domain (Change process and Satisfaction) measured in two main ways; question's wise and department's wise. Each question has three possible responses (Negative,

Neutral, or Positive), in which they form the 100% response rate of the selected subordinates. For example, 14% of project's team members are thinking of looking for a new job, against 57% were not and 29% neutral [Refer to Figure:1].

Figure 1: Outcome of satisfaction related questions for projects' department.



3.5. Response Rate

The indication given below in the table shows the response rate of both leaders and subordinates. 11 Leaders have completed the leadership style questionnaire with a 100% response rate. Though, the rate of subordinates was a little different, 76 out of 84 targeted respondents have completed the survey, which is approximately amounting to 90% response rate.

	Leaders	Subordinates
Population	11	84
Response	11	76
Rate (%)	100 %	90%

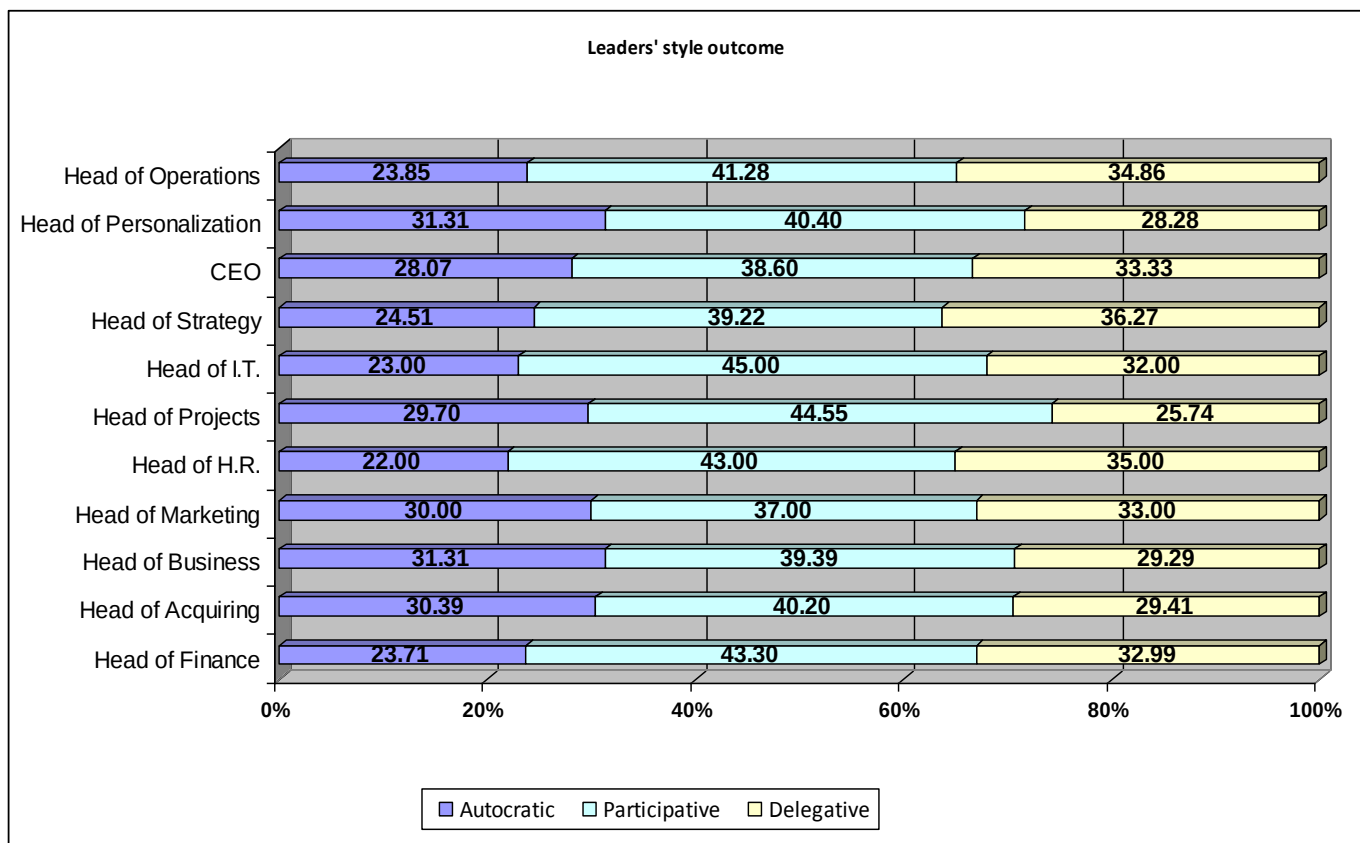
Chapter Four

4. Empirical Findings

4.1. The Relationship between Leadership Styles and Employees' Perception about the Change Process.

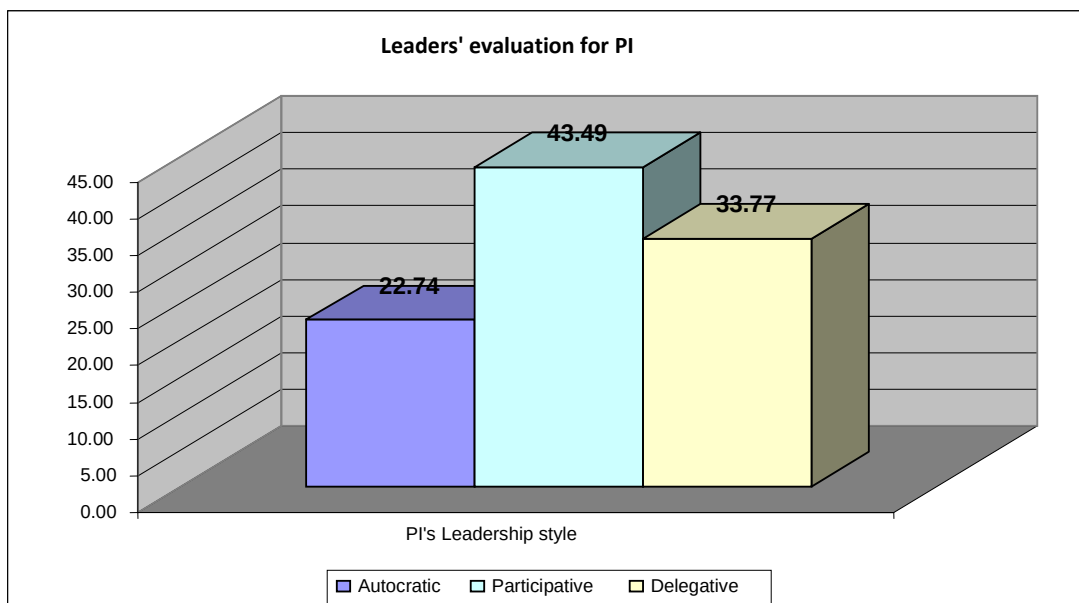
According to Leadership styles' evaluation of Processing International's leaders, the participative style scored the highest and the most dominating one in the organization. The average score for the selected leaders were the base of the outcome for PI overall dominating style. While some scored more in Participative than the other two, there are leaders who do not seem to have a dominating style; it is more of two or even three (in the case of Head of Marketing) [refer to Figure:2].

Figure 2: Leaders' outcome for their leadership style.



Leadership style of selected leaders reflected – more or less – the overall style dominating Processing International. While the dominating style varies from one leader to another, there is a tendency towards the participative style across many of them, which forms the leadership style of the company overall. The below graph shows the split between these styles, while Autocratic style scored the lowest across all of the three (22.7%), Participative is by far the dominating style (43.4%), yet the Delegative was not absent at all (33.7%) [Refer to Figure: 3]. The influence of these styles on the change process could be seen in the overall outcome from the surveyed departments and also in the way they have perceived the process itself.

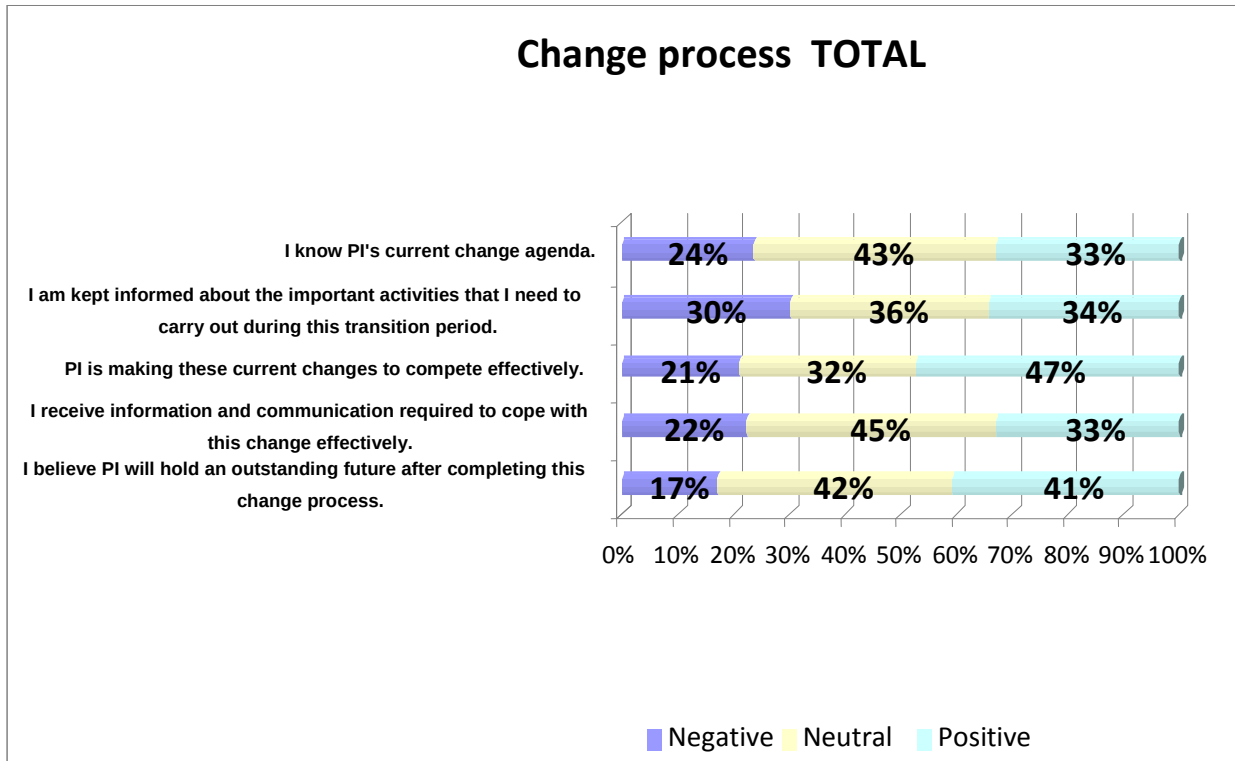
Figure 3: PI dominating leadership style



The outcomes of the five questions that are used to examine the undergoing change process in PI were scaled based on three responses options (Negative, Neutral, or Positive). The responses were analyzed on two basis; questions and departments wise. Also the averages of all collective responses have been considered as the organization's response. Figure 4 below shows the outcome of the change process questions in PI, the score is an average of the collective score from all respondents (n=76). While the participative style that dominates PI influenced the perception created amongst employees; the good future PI will hold after these changes and the reason behind it. That very same style did not help much in creating a clear view for respondents to know the purpose of this process. Only

1/3 of surveyed employees were aware of the change agenda, the required activities related to this change process and the best way to cope with it.

Figure 4: PI's overall response outcome for change process's related questions (change)



The relationship between different leadership styles and the responses of subordinates revealed in this research is undeniable. The highest two leaders who scored in the Autocratic style were “Head of Business” and “Head of Acquiring”; 31.3% and 30.3%, respectively. Their subordinates’ scores were amongst the lowest positive – in terms of percentage - for most of the questions related to change process’ surveyed domain. Only 1/4 of the business department’s respondents were positive about the change process itself, while it increased slightly in the case of the Acquiring department’s respondents, yet very low (with an exception to the communication question).

Figure 5: Outcome of Change Processes Question of the Acquiring Department (change)

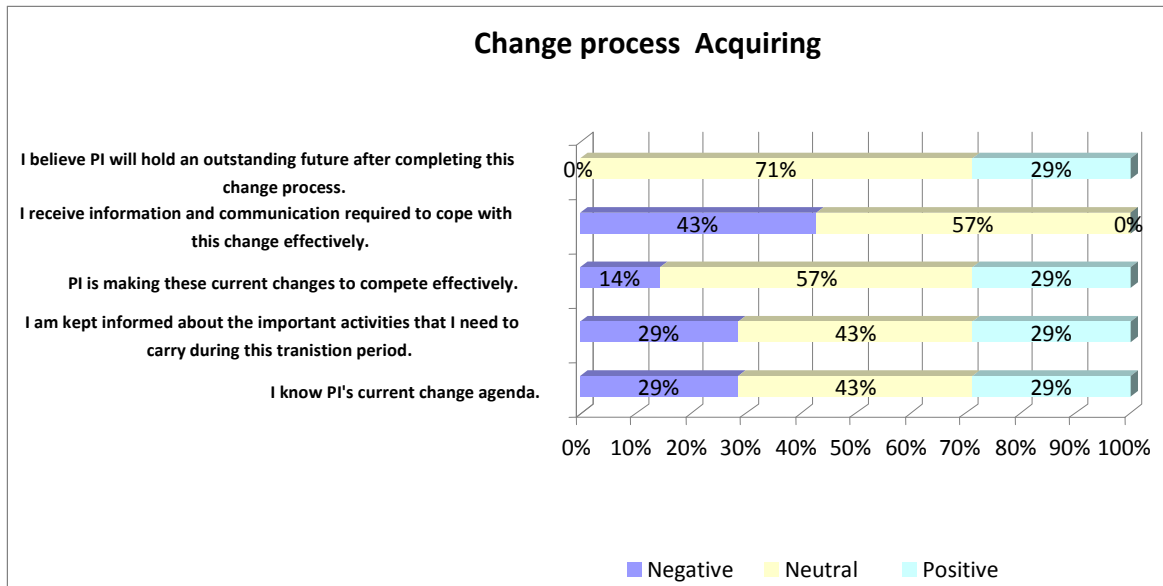
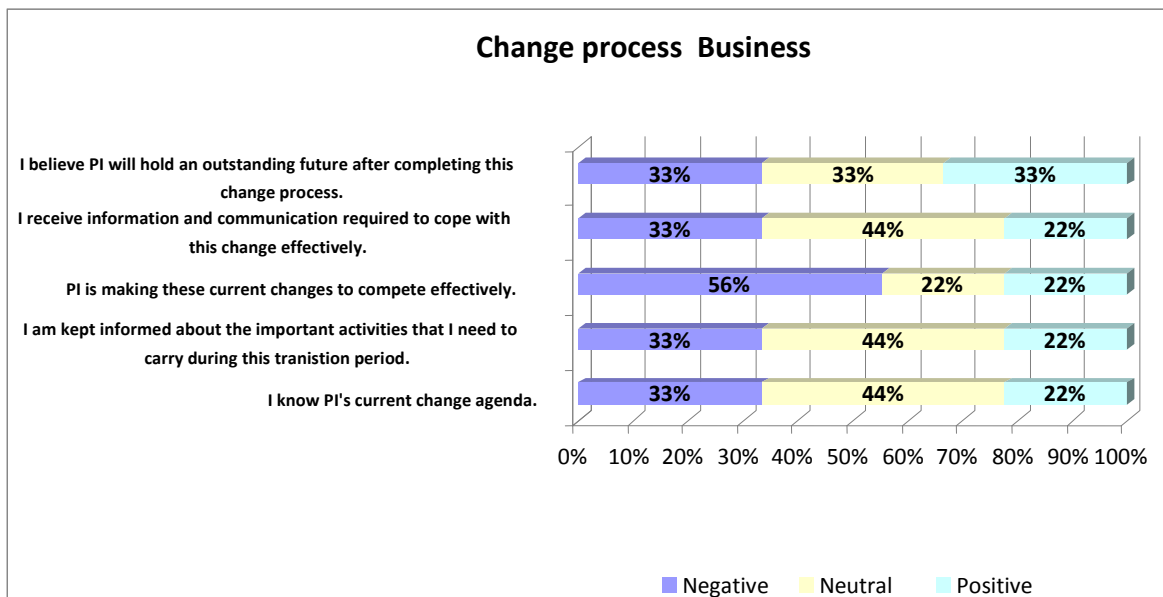


Figure 6: outcome of change process' question of the Business department (change)



One of the other dimensions in this study is to examine how delegative leaders (or those who hold a high score in this style) could influence the way their subordinates perceive the change process. The highest leaders who scored in the delegative style were “Head of strategic Alliances” along with the “Chief Executive Officer”. Their scores in this style were (36%) and (33%), respectively. The positive responses from their departments across the

five questions were almost 50%, which is nearly double the average score for the organization overall. The delegative style directly influenced the positive responses, especially for the way their subordinates perceive this change (PI is making these current changes to compete effectively). The below two figures show the inclined or even absence of negative responses for some of the questions in the case of “Strategic Alliances” department - where its leader holds the highest delegative score across PI. The reduced negativity amongst the respondents - compared to other departments - could be directly linked to the style leader holds, or to the combination of styles he use during this phase of change.[refer to figure 7 and 8].

Figure 7: Outcome of change process’ question of EXCO members (change)

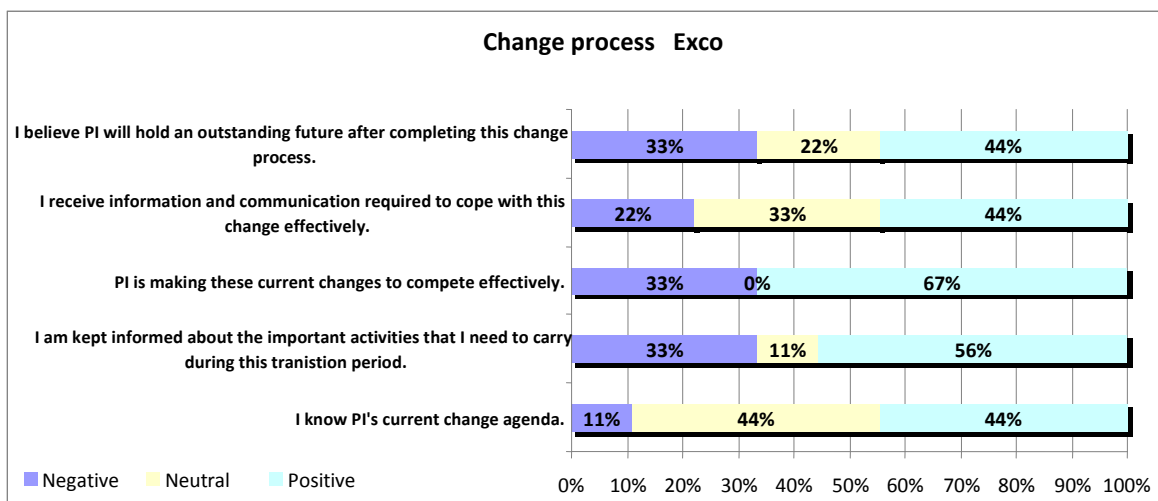
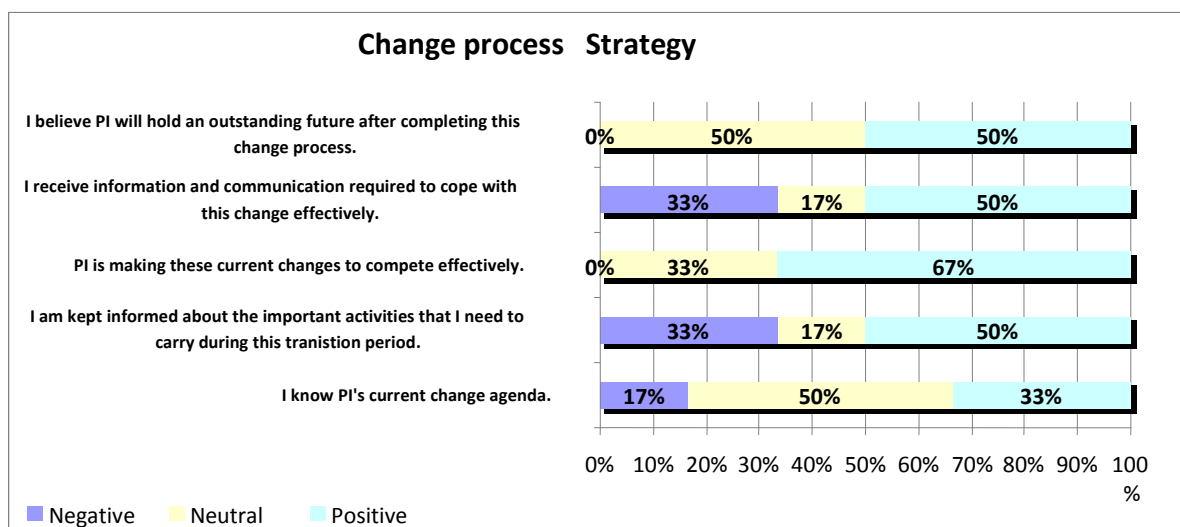


Figure 8: Outcome of change process’ question of the Strategy department (change)



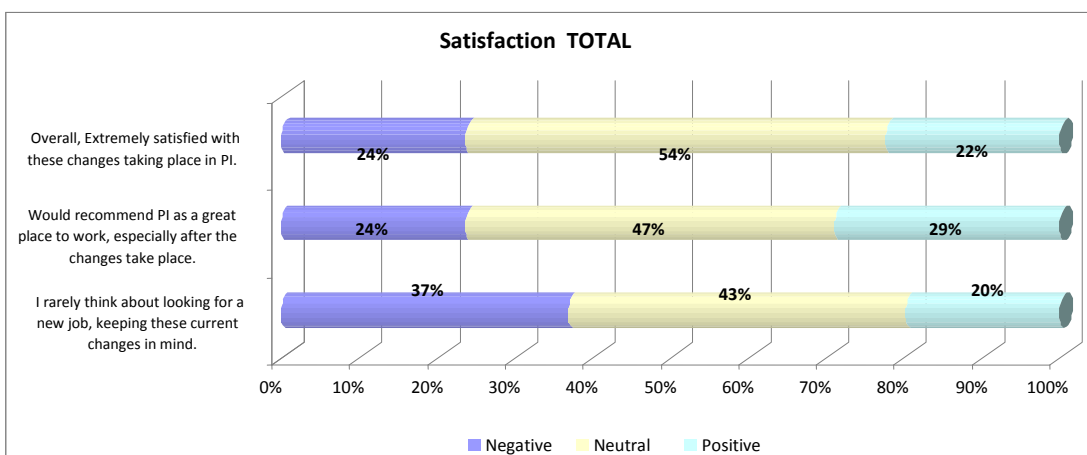
4.2. The Relationship between Leadership Styles and Employees' Satisfaction Level.

The other domain in which subordinates were surveyed was their satisfaction level they currently hold for the organization, keeping in mind the ongoing change process, and the way they perceive the organization overall. The three questions that formed this area are;

1. I rarely think about looking for a new job, keeping these current changes in mind.
2. Would recommend PI as a great place to work, especially after the changes take place.
3. Overall, extremely satisfied with these changes taking place in PI.

The same scoring mechanism that has been adapted to rate the change process is the one applied to measure the satisfaction level of employees. The average score for the first question across the organization was as follow; 37% with a negative response, 43% neutral and 20% positive. That means, almost 1/3 of PI's employees are looking for another job, especially with the current changes in mind. Only 20% of them are not looking to do so, and the rest is yet to decide. The percentage of respondents who could recommend PI as a great place to work in is less than 30% of its employees. The ratio of employees who are satisfied with this change process is less than that even; only 1/4 of the respondents [refer to figure:9]

Figure 9: Satisfaction level in PI.



The highest leaders who scored in the participative style were Head of Projects and Head of I.T., they have scored 44.5% and 45%, respectively. And the effect of their dominating participative style was very clear in the percentage of subordinates under their umbrella that are thinking of leaving the company, or looking for another job. While 57% of projects' team members are thinking of looking for another job, 63% are also positive about the same in the I.T department. That is almost double the rate of the organization overall. The big gap in percentage between the dominating style of both leaders (projects and I.T) and that of the company overall, explains the differences. While PI dominating style is also Participative 43%, the delegative style is also strongly present 34%, which is not the case with the two leaders. While Participative style that the two leaders hold did not really trigger a good satisfactory level for employees, the combination of a participative and a delegative styles did a better job in bringing the negative responses down across the company [refer to figure : 10].

The influence of a leader who possesses high participative style (43%), yet with a high delegative presence (33%) could be found in the case of "Head of Finance". Surveyed employees in the finance department were amongst the lowest for those who may look for another job (29%). This percentage is almost half of the score that employees of the projects and I.T. departments scored. Therefore, the influence of the combination, especially over the loyalty of employees to the company, could be linked directly to the combination of these two styles – delegative and participative.

The interesting part in this section is that Acquiring department is the only one who has no member of its employees that are thinking of looking for another job after these changes – as per the survey. As stated earlier, the Head of Acquiring department is classified to be participative 40%. However, the autocratic style is present (30%), but though is the delegative (30%). The effect of nearly same score (almost the same) in the autocratic and the delegative style could be interpreted here in two ways; whether he can operate by two at the same time along with the main dominating one, or he can manage his people by any of the two – depends on the situation – along with the main one. In this case, the attribution of the strong sense of loyalty amongst his employees is related to the presence

of the participative and the delegative style. The full analysis related to satisfaction questions – departments' wise and questions' wise – is in figure 11.

Figure 10: responses to new job search across departments (satisfaction).

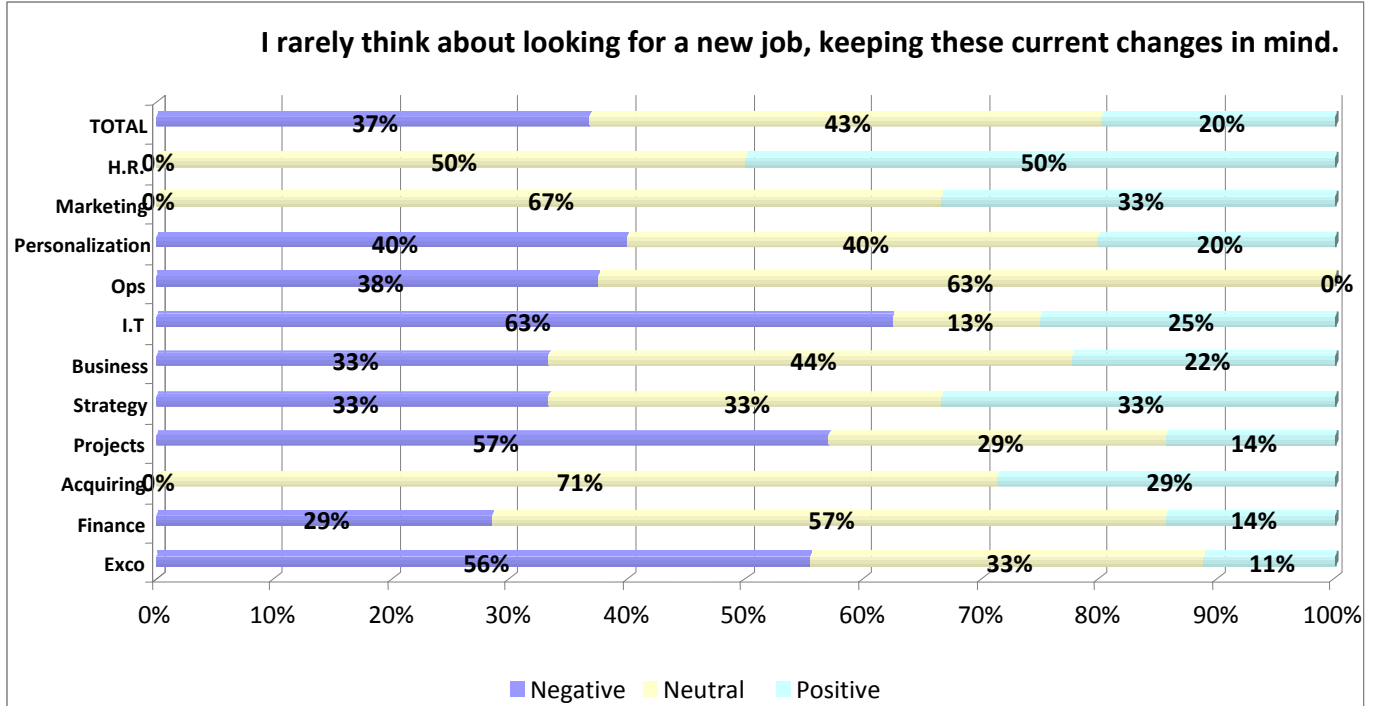


Figure 11: outcome of employees' satisfaction survey (departments and questions' wise).

Satisfaction	I rarely think about looking for a new job, keeping these current changes in mind.			Would recommend PI as a great place to work, especially after the changes take place.			Overall, Extremely satisfied with these changes taking place in PI.		
	Negative	Neutral	Positive	Negative	Neutral	Positive	Negative	Neutral	Positive
EXCO	56%	33%	11%	22%	33%	44%	33%	44%	22%
Finance	29%	57%	14%	14%	71%	14%	29%	71%	0%
Acquiring	0%	71%	29%	29%	43%	29%	0%	86%	14%
Projects	57%	29%	14%	14%	43%	43%	14%	43%	43%
Strategy	33%	33%	33%	0%	83%	17%	0%	83%	17%
Business	33%	44%	22%	33%	44%	22%	67%	22%	11%
I.T	63%	13%	25%	38%	13%	50%	13%	38%	50%
Ops	38%	63%	0%	50%	25%	25%	38%	38%	25%
Personalization	40%	40%	20%	20%	70%	10%	20%	80%	0%
Marketing	0%	67%	33%	0%	67%	33%	0%	33%	67%
H.R.	0%	50%	50%	0%	50%	50%	0%	50%	50%
TOTAL	37%	43%	20%	24%	47%	29%	24%	54%	22%

4.3. Other Findings

During the research process, some other factors were identified, which further influenced the change process and affected employees' satisfaction level (including commitment to stay in job after these changes take place). While getting the response, and during the clarification phase with some of the respondents, some important areas that may further affect employees were found. Culture differences, market conditions, along with personal circumstances influenced the way subordinates perceived the process with all its elements.

Culture:

Though Processing International is operating out of the Middle East region, its employees are from different backgrounds. The organization could be classified into four big groups – in terms of employees' nationality - which are;

- Middle Eastern; Arabs including North Africa.
- Asian; Sub-continent: Indians, Pakistani, Sri Lankan, Bangladesh.
- Western; Europeans and Northern Americans.
- African; East Africans, Sub-Saharan and West, South Africans.

While the second group (Asians) is almost 3/4 of the company, there is a bit of diversity across the other 1/4 of employees. The differences in culture could be seen clearly between employees from Asia and those of Europe, or even Arabs. While Asians tend to focus more on the negative consequences of their behaviors, they often behave in a way to minimize these consequences. Europeans, on the other hand, are more inclined to base their behavior on the benefits that they may receive without considering the cost that might occur (Briley and Wyer, 2001). The way Arabs perceive the change is different; what is in it for them and how it could affect their current working conditions. They were mostly concerned about the new organizational structure (whom I will report to), not what this process could bring to the table.

Market Conditions:

The job market in Dubai is not as good as it used to be prior to the global meltdown, hence, the turn over rate across companies is way less than it used to be – apart from those who are going through a down-sizing exercise. The driver here is not the increase of loyalty across employees, but more about the lack of other opportunities or better ones. Those employees of PI who could find a better opportunity, and in some cases another opportunity, are determined to leave the company. That could be interpreted as an indirect influence of the change process in some cases.

Personal Conditions / Circumstances:

Employees who are married and have families are leaner towards the change process than those who have no commitment, or in other words, than those who can afford to leave the organization. Despite the fact that they may not have better conditions in the work place, or the influence of the new changes affects them more – negatively – than other, they still behave in an opposite way to what they feel. The pressure they are under – in which the organization knows about in some cases – prevents them from expressing their opposition, even if it is partially, to the changes taking place. They seem to accept the new changes / conditions that they found themselves under, due to the absence of alternatives. However, they turn to be themselves once they find another opportunity in the market.

Chapter Five

5. Conclusions and Recommendations

5.1. Conclusions

The main objective of this research is to understand the influence of different leadership styles on the way employees perceive the change process in an organization, and how they could be affected by the way their leaders behave. Both; primary and secondary resources have emphasized on the notion that there is a strong relationship between different leadership styles (Autocratic, Participative, Delegative) and the way employees act to the change process. Nevertheless, some other factors have influenced the behavior of subordinates in the case of Processing International – other than the leadership styles – and drove their satisfaction level about it to the way it has been explained in the previous chapter.

The findings in the research show that the way employees perceive the change process is related to the way their leaders act on these changes, or in other words, the style their leaders possess. The examination of leaders shows that there is a link between the way organization perform and the styles its leaders possess (Bycio et al., 1995; and Howell and Avolio, 1993), in which it has been explained in details in the previous chapter. Autocratic leaders (or those who scored high in this style) had a direct negative impact on the responses of their teams, as in the case of Acquiring and Business Development units. The team members of these two units held the most negative perception about the change process. While those who works under leaders that enjoy both participative and delegative style (in the case of Head of Strategic Alliances and the Chief Executive Officer) held the highest positive response for the same. Not only that, but taking the average score of PI as an organization reflects the direct positive impact of combining both participative and delegative style on the way employees could perceive the change process and its implications.

The other domain which this research tried to measure during the change process was the satisfaction level employees of PI possess; whether it is for the job or for the company. The research revealed some findings about the relationship between the styles leaders operate under and the satisfaction level employees enjoy under their supervision. While employees under the umbrella of a participative leader (as in Projects and I.T.) showed the highest rate amongst respondents for those who are thinking of looking for another job, due to these changes taking place in PI. Employees under the umbrella of leaders who possess both a delegative along with a participative style (as in the case of Head of Operations and Head of Finance) held the lowest negative score in this area. Not only that, but also Operation's team members have not shown any interest in looking for another job, especially after the changes take place. Hence, the theory of Stogdill (1974) and Bass (1990) that emphasize on the fact of employees under the umbrella of democratic leaders (participative) holds a great satisfaction level is not applicable in this case of PI. Nevertheless, a combination of both participative and delegative leadership style is the main driver for the increase of satisfaction level amongst employees working under such leaders. The invalidity of these two theories could be the result of the region – which is different – or the current conditions that are way different than those were there in the last century.

The implications of western theories on a region such as the Middle East need to be reviewed, especially when it comes to human interactions and related activities. Hackman and Johnson (1996) also explained how employees' satisfaction level is positively linked to the participative styles of their leaders. However, this research proved that the participative style of the leader is not enough to drive the satisfaction level of employees, but the combining delegative style along with it creates a positive impact on them. Beside the advantages of participative style, delegative one motivates employees to carry out their job more if it is related to their work life (Adair, 2003). Hence, the unique nature of the operating model of the Middle East region and the special nature of the payment industry – where PI sits – enforces the strengths of such ties between leadership styles on employees' satisfaction and performance, especially during the time of applying organizational changes to the company.

As Linda Holbeche stated that leading change successfully could be done through managing the change in the short term to achieve and sustain the long term high performance goals (Hobbelche, L., 2006). Leaders have to understand that they are accountable to manage the short term tasks, without losing the focus on the long term goals. In which leaders could do by combining the characteristics of both participative and delegative styles. Therefore, the role of change agents is to coach individuals (participative style), and also to develop employees' ability to create new ways in problem solving by passing the ability to resolve emerging conflicts to subordinates (delegative style) (Isaksen and Tidd, 2006). Hence, the characteristics of a successful change leader are not only to coach, but it is also to delegate to his / her subordinates, in order to develop them.

The data and the results of this research suggests that leaders who possess both participative and delegative style are able to drive their teams better in the time of change than those who only possess one of the three styles (Autocratic – Participative – Delegative). The least preferred style amongst all of the three, in terms of implications on employees during a change process, is the Autocratic one, as it did drive the satisfaction level to almost 50% lower than this of the average running rate across the organization (as explained earlier).

This study has measured the reaction of employees to the change process from two sides; change process itself and the satisfaction level of employees. However, some other factors could be attributed to influence the outcome of this change. Dunham, Grube and Castaneda (1994) explained how relationship between leadership styles and employees perception about the organization could vary based on employees' perception of how capable they are to find another job, which was part of "other findings" in the previous chapter. Hence, the link between leadership styles and employees' perception about the change process is strong, but it is not the only factor that influences the process.

In conclusion, the attribution of a successful change process to the different styles that leaders in Processing International possess is correct. Yet, the obvious discrepancy between previous theories as in the case of Lewin et al. (1939), Stogdill (1974), Bass (1990), and

Hackman and Johnson (1996) and the findings in this research could be interpreted in different ways. It could be due to the current market conditions which are different than before, the region of the Middle East that requires another approach, or the specific business domain of PI needs a specific type change agents. On the other hand, those theories that were more focused on leading the process of change – not Leadership as a concept – were more relevant to the findings in this research.

Failing to understand or anticipate the need to the change process could be an attribution to the way employees act, which is confirmed by the notion Hayes (2002) adopted in his examination to change agents. Agreeing with him is Nadler and Shaw (cited in Hayes, 2002) where they stated that the failure to do so may turns the odds against the success of the implementation process of proposed change. Throughout this research and from the findings of the analysis, employees' perception about the change process and their attribution to its importance was directly linked to the way their leaders act. Nevertheless, further studies could be adopted to evaluate the influence of other factors on the change process in the organization.

5.2. Recommendations

In the case on Processing International, the following recommendations could be considered to drive the satisfaction level across employees to new heights, and also to enhance the impact of the change process on the organization;

Leaders' Related:

A thorough analysis should be conducted to understand the reason behind leaders' behavior during this change process, without limiting the analysis to only measure the leadership style, but to examine the influence of other factors on them. If the organization succeeded in eliminating these factors, which could be controlled as in the case of work environment, a big boost could be given to leaders to only focus on driving the change process in a more efficient way.

Leaders of Processing International should understand and believe that sharing the information, especially when it is related to expected change, encourages employees to act positively. Not only that, but it makes employees feel as part of the organization, not isolated from the decision making process. It is also essential to drive the loyalty high and reduces the number of people who are waiting for another opportunity to leave the company.

The shareholders should start considering existing talents in the company to promote them, instead of the other route that PI adapted, by bringing more senior people from outside on top of existing resources. In some departments, the need to inflate the hierarchy was not there, it actually created a feel of frustration amongst most of employees, who considered that as an act of negligence from the company towards its own existing employees. In the case of necessity, an explanation of the reason behind doing so could be of a big positive impact on the rest of employees and increases employees' loyalty.

Last, but not least, the need to improve the skills of current leaders in away that could cope with the expected change through workshops, seminars and training sessions. Such steps would improve the way leaders act during this critical phase of the company's life cycle, which will lead to better outcomes in the future.

Employees' Related:

Senior management could create a pool, in which employees from each department will nominate one person to present them with the change leaders, or with whom they will drive the change process. These nominated (selected) employees would act as the link between change agents and the rest of employees. Their duty will be dual, taking the feedback of employees and sharing it with change leaders, and also explaining to employees the details of the change process and keeping the communication flow.

Weekly newsletter should be distributed across the company (by email) with the latest updates about the change process and some insights and inspiring quotes from senior leaders to drive the motivation of employees all along the process.

Create some incentive scheme (that could be in the form of money, rewards, or certificates of recognition) for those who take an extra step or run the extra mile to deliver the requirements of the change process. That will boost the morale of those outstanding performers, at the same time encourages the rest to act like them, which after all is a big boost to the change process.

5.3. Reflection on the Dissertation Process

This research with all its areas opened new horizons for self-development. From the personal characteristics that leaders should possess to the different leadership styles that best suits certain situations. Acquiring new skills that could help in developing new leadership styles turned to be of an essence to the success of any change process. Hence, the researcher realized the importance of developing the characteristics of both participative and delegative style, which are the key success to leaders in a change process. Having these characteristics is the first enabler to individuals, then, evaluating the situation in hand to adapt the suitable style that best fit the situation in hand.

Such researches along with the live experience from the workplace that the researcher acquired would help in developing some of the areas that have been proved rightful and helpful in motivating other team members and increasing the efficiency of employees.

The academic studies (such as this one) along with the experiences that could be withdrawn from other successful leaders could form a good combination, which could allow the researcher to implement them in the workplace. Following the implementation of these learned lessons, the phase of evaluating the outcomes and being flexible to change the adapted method - if required - should be kept in mind.

The value of this research phase in this program is undeniable, both in the personal and professional sides. Previously, the main learning methods were used to be the secondary resources, or learning from those who have carried previous researchers and studies. However, the learner was more or less acting as a receiver. However, this phase in the learning process is very different in its nature. This paper is the outcome of mainly self studies / researches, not like others. Hence, the great value of this process.

The different phases of this dissertation process taught the researcher, in different ways, the importance of being flexible; whether to people or to ideas. Before getting into this dissertation process, there used to be a tendency to stick to own views and try to proof them. However, after undertaking this research, one shall have a room to accept new findings – which may not be in harmony with what been taught earlier, or in other words, the cognitive maps. Not only that, but also be prepared to face surprises and be ready to adapt new ways of handling issues, or overcoming barriers.

The dissertation process in its essence means was of a great meaning to the researcher, from being proud of own work, to the happiness comes out of the research findings. The process it self was very interesting, due to many surprises along the way. Nevertheless, the success in this process dilutes the effect of long stressful nights. As this is the only work that is mainly dependant on own research, in which it could be used to further develop new theories about leadership in a transitional phase, or in similar organizations as the one researched. This process resulted in having a great positive impact; especially with reaching the goal that first set at the beginning of this journey.

The process undertaken required a lot of hard working and continuous changes in the direction of the study to park on the right one. Understanding the nature of the research took time and efforts. Nevertheless, the lessons to be learnt out of it are many, from self-practice development, to the extent of putting right measurements to drive future changes in the same organization or similar ones. All questionnaires and surveys undertaken by the selected leaders and subordinates in this research have revealed some interesting findings about human nature in conjunction with corporate requirements. Therefore, understanding the outcome of this study and absorbing its findings is the beginning of a

longer journey the researcher decided to take to further pursue and understand more about this interesting topic.

5.4. Areas for Further Research

Further research could be taken to examine some of the other factors which influenced the way employees perceived the change process, like job market conditions, personal characteristics of employees, or their different national culture and its influences. That is apart from the impact of the leadership style their leaders possess.

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Appendix 1: Subordinates survey

PI's Leadership and Change Survey

This questionnaire contains statements about different aspects of PI's current change process;

Next to each statement, circle the number that represents how true you think it is now (not how it should be) by using the following scoring mechanism:

- Very True — 3
- Occasionally True — 2
- Never True — 1

Area	S.N	Statement	circle your answer		
Innovation	1.	PI fosters creative thinking.	1	2	3
	2.	PI rewards risk-taking in order to drive innovative initiatives.	1	2	3
	3.	PI does a good job in driving business results through innovations	1	2	3
Change process	1.	I know PI's current change agenda.	1	2	3
	2.	I am kept informed about the important activities that I need to carry during this transition period.	1	2	3
	3.	PI is making these current changes to compete effectively.	1	2	3
	4.	I receive information and communication required to cope with this change effectively.	1	2	3
	5.	I believe PI will hold an outstanding future after completing this change process.	1	2	3
Your Leader	1.	Your Leader gives a pre-defined objectives and operating standards for any project.	1	2	3
	2.	On solving daily problems, your leader gets you to agree on his/ her proposed solution.	1	2	3
	3.	Your leader usually confront with you if you started criticizing him/her.	1	2	3

	4.	Your manager makes sure that everyone is heard during any given meeting.	1	2	3
	5.	Discussing a decision always happen with your leader before they gets introduced.	1	2	3
	6.	A discussion takes place with your manager before giving defined objectives to work on.	1	2	3
	7.	Your leader encourages you to generate your own viewpoints.	1	2	3
	8.	Decisions are left to you to evaluate how to sort out daily problems.	1	2	3
	9.	Your leader leaves you free to set your own objectives for any task	1	2	3
Satisfaction Level	1.	I rarely think about looking for a new job, keeping these current changes in mind.	1	2	3
	2.	Would recommend PI as a great place to work, especially after the changes take place.	1	2	3
	3.	Overall, extremely satisfied with these changes taking place in PI.	1	2	3

This survey is to help assessing the following:

- 1) Innovation within PI
- 2) change process in PI
- 3) Your satisfaction level from being in PI
- 4) Your leader's style

Leadership style evaluation:

In the table below, enter the score of each of the items in (your Leader) section.

For example, if you scored statement one in your leader section with a 3 (very true), then enter a 3 next to Item One. When you have entered all the scores for each of the nine questions, total each of the three columns.

Leadership style Score sheet					
Item	Score	Item	Score	Item	Score
1		4		7	
2		5		8	
3		6		9	
TOTAL		TOTAL		TOTAL	
Authoritarian Style		Participative Style		Delegative Style	

Appendix 2:

Leaders' dominating style questionnaire

This questionnaire contains statements about leadership style beliefs. Next to each statement, circle the number that represents how strongly you feel about the statement by using the following scoring system:

- Almost Always True — 5
- Frequently True — 4
- Occasionally True — 3
- Seldom True — 2
- Almost Never True — 1

1.	I always retain the final decision making authority within my department or team.	5	4	3	2	1
2.	I always try to include one or more employees in determining what to do and how to do it. However, I maintain the final decision making authority.	5	4	3	2	1
3.	I and my employees always vote whenever a major decision has to be made.	5	4	3	2	1
4.	I do not consider suggestions made by my employees as I do not have the time for them.	5	4	3	2	1
5.	I ask for employee ideas and input on upcoming plans and projects.	5	4	3	2	1
6.	For a major decision to pass in my department, it must have the approval of each individual or the majority.	5	4	3	2	1
7.	I tell my employees what has to be done and how to do it.	5	4	3	2	1

8.	When things go wrong and I need to create a strategy to keep a project or process running on schedule, I call a meeting to get my employee's advice.	5	4	3	2	1
9.	To get information out, I send it by email, memos, or voice mail; very rarely is a meeting called. My employees are then expected to act upon the information.	5	4	3	2	1
10.	When someone makes a mistake, I tell them not to ever do that again and make a note of it.	5	4	3	2	1
11.	I want to create an environment where the employees take ownership of the project. I allow them to participate in the decision making process.	5	4	3	2	1
12.	I allow my employees to determine what needs to be done and how to do it.	5	4	3	2	1
13.	New hires are not allowed to make any decisions unless it is approved by me first.	5	4	3	2	1
14.	I ask employees for their vision of where they see their jobs going and then use their vision where appropriate.	5	4	3	2	1
15.	My workers know more about their jobs than me, so I allow them to carry out the decisions to do their job.	5	4	3	2	1
16.	When something goes wrong, I tell my employees that a procedure is not working correctly and I establish a new one.	5	4	3	2	1
17.	I allow my employees to set priorities with my guidance.	5	4	3	2	1
18.	I delegate tasks in order to implement a new procedure or process.	5	4	3	2	1

19.	I closely monitor my employees to ensure they are performing correctly.	5	4	3	2	1
20.	When there are differences in role expectations, I work with them to resolve the differences.	5	4	3	2	1
21.	Each individual is responsible for defining their job.	5	4	3	2	1
22.	I like the power that my leadership position holds over subordinates.	5	4	3	2	1
23.	I like to use my leadership power to help subordinates grow.	5	4	3	2	1
24.	I like to share my leadership power with my subordinates.	5	4	3	2	1
25.	Employees must be directed or threatened with punishment in order to get them to achieve the organizational objectives.	5	4	3	2	1
26.	Employees will exercise self-direction if they are committed to the objectives.	5	4	3	2	1
27.	Employees have the right to determine their own organizational objectives.	5	4	3	2	1
28.	Employees seek mainly security.	5	4	3	2	1
29.	Employees know how to use creativity and ingenuity to solve organizational problems.	5	4	3	2	1
30.	My employees can lead themselves just as well as I can.	5	4	3	2	1

In the table below, enter the score of each item on the above questionnaire. For example, if you scored item one with a 3 (Occasionally), then enter a 3 next to Item One. When you have entered all the scores for each question, total each of the three columns.

Item	Score	Item	Score	Item	Score
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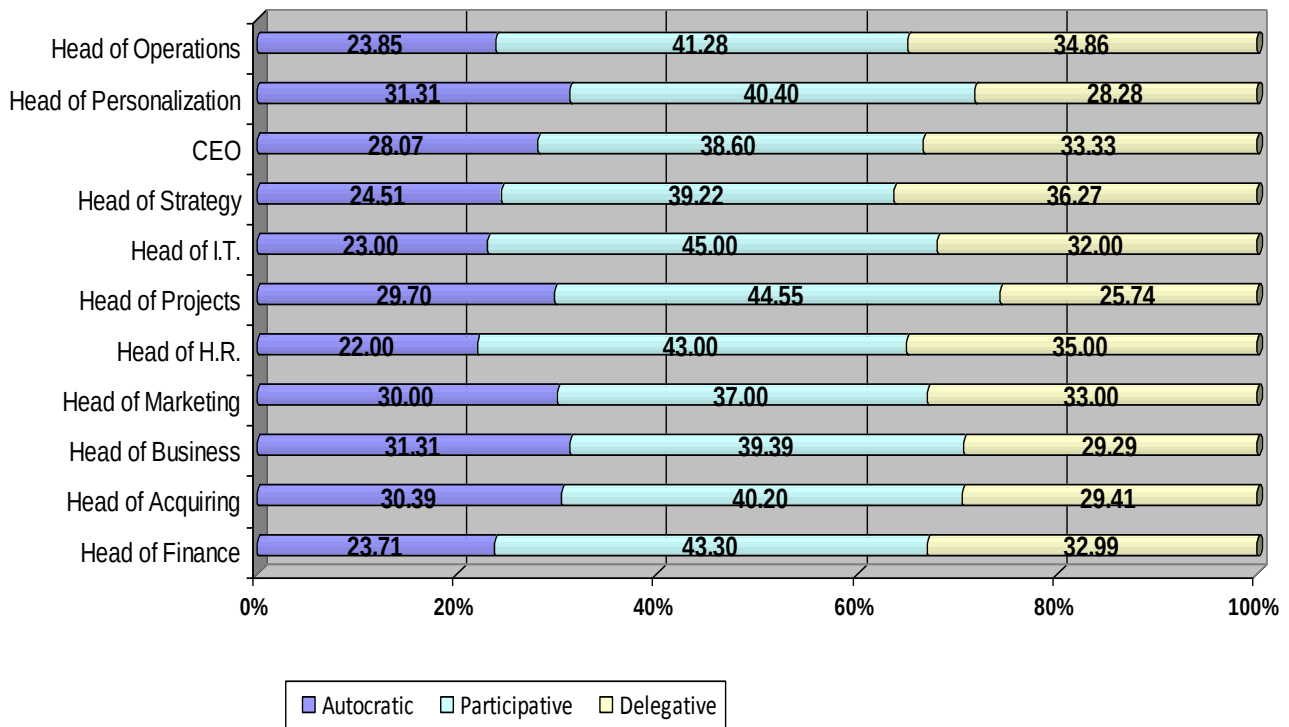
1	_____	2	_____	3	_____
4	_____	5	_____	6	_____
7	_____	8	_____	9	_____
10	_____	11	_____	12	_____
13	_____	14	_____	15	_____
16	_____	17	_____	18	_____
19	_____	20	_____	21	_____
22	_____	23	_____	24	_____
25	_____	26	_____	27	_____
28	_____	29	_____	30	_____
TOTAL	_____	TOTAL	_____	TOTAL	_____
	Authoritarian Style		Participative Style		Delegative Style
	(autocratic)		(democratic)		(free reign)

Appendix 3:

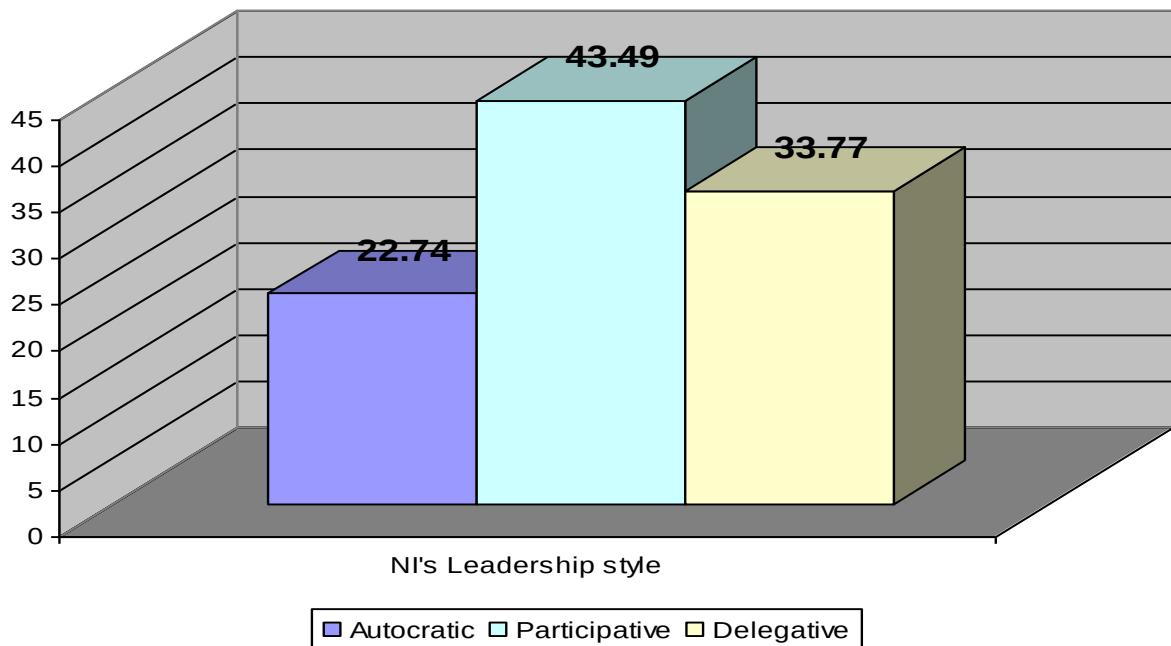
Leadership styles outcome

Participants	Score		
	Autocratic	Participative	Delegative
Head of Finance	23.71	43.30	32.99
Head of Acquiring	30.39	40.20	29.41
Head of Business	31.31	39.39	29.29
Head of Marketing	30.00	37.00	33.00
Head of H.R.	22.00	43.00	35.00
Head of Projects	29.70	44.55	25.74
Head of I.T.	23.00	45.00	32.00
Head of Strategy	24.51	39.22	36.27
CEO	28.07	38.60	33.33
Head of Personalization	31.31	40.40	28.28
Head of Operations	23.85	41.28	34.86
	Autocratic	Participative	Delegative
PI's Leadership style	22.74	43.49	33.77

Leaders' style outcome



NI dominating leadership style



Appendix 4:

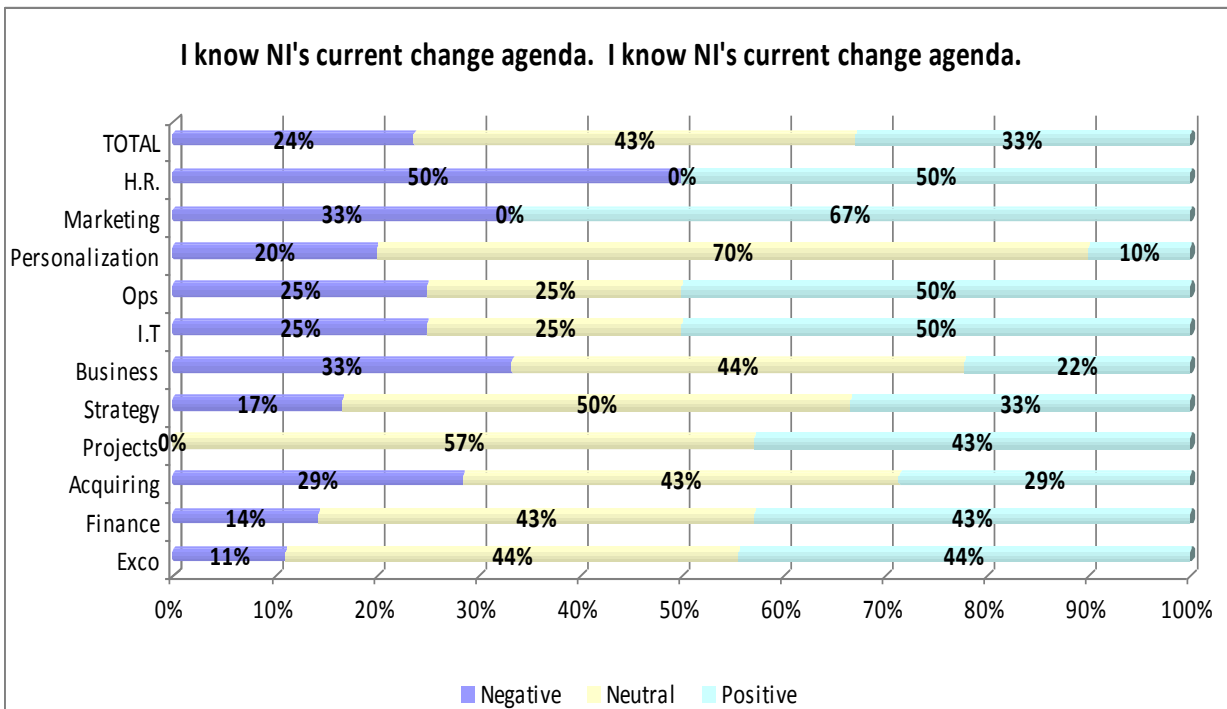
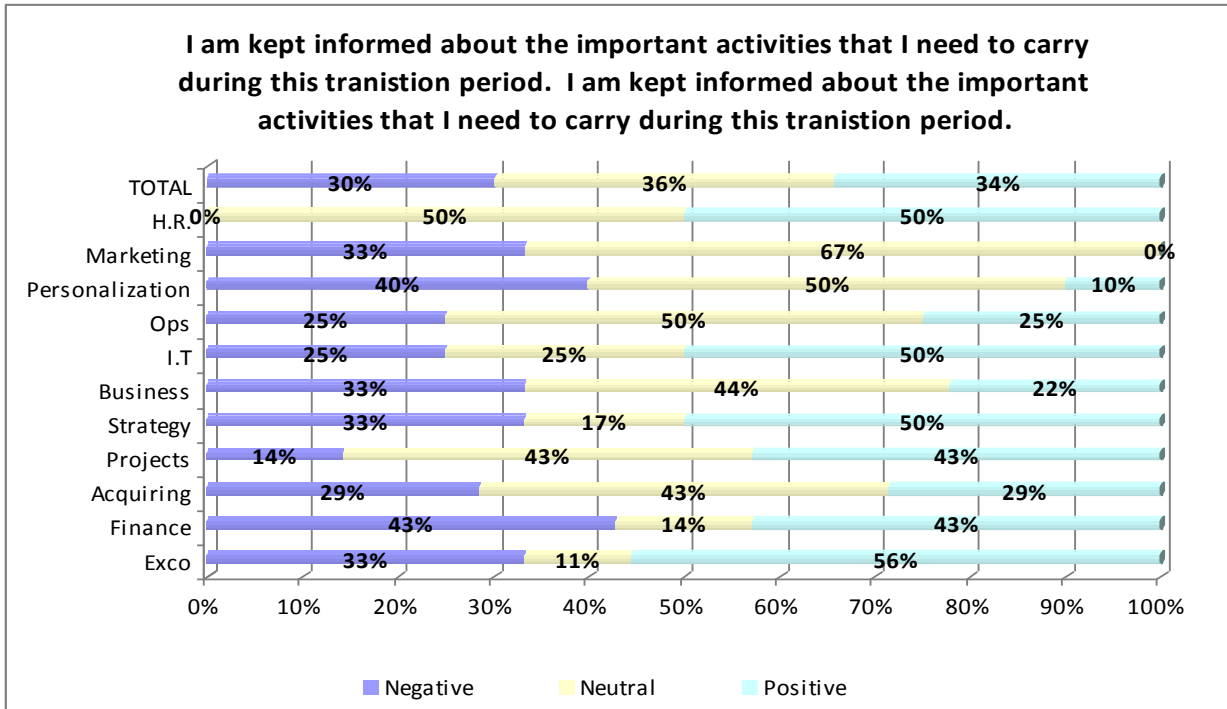
Change process related outcome (Accumulative).

Change process	I know PI's current change agenda.			I am kept informed about the important activities that I need to carry during this tranistion period.			PI is making these current changes to compete effectively.		
	Negative	Neutral	Positive	Negative	Neutral	Positive	Negative	Neutral	Positive
Exco	11%	44%	44%	33%	11%	56%	33%	0%	67%
Finance	14%	43%	43%	43%	14%	43%	14%	57%	29%
Acquiring	29%	43%	29%	29%	43%	29%	14%	57%	29%
Projects	0%	57%	43%	14%	43%	43%	14%	43%	43%
Strategy	17%	50%	33%	33%	17%	50%	0%	33%	67%
Business	33%	44%	22%	33%	44%	22%	56%	22%	22%
I.T	25%	25%	50%	25%	25%	50%	25%	0%	75%
Ops	25%	25%	50%	25%	50%	25%	25%	25%	50%
Personalization	20%	70%	10%	40%	50%	10%	0%	50%	50%
Marketing	33%	0%	67%	33%	67%	0%	33%	33%	33%
H.R.	50%	0%	50%	0%	50%	50%	0%	50%	50%
TOTAL	24%	43%	33%	30%	36%	34%	21%	32%	47%

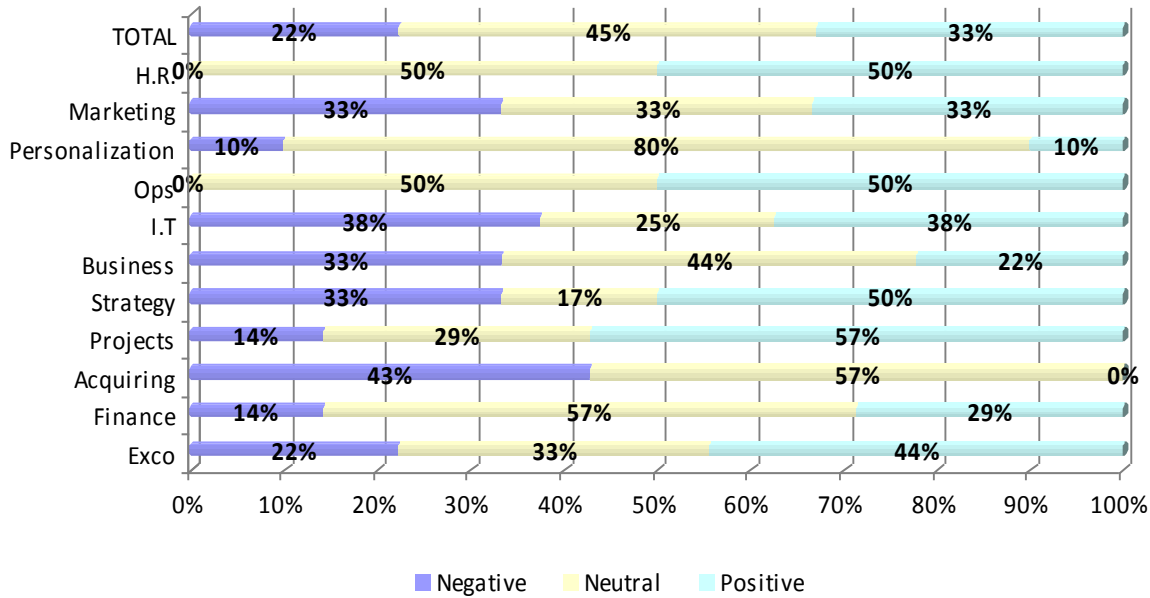
Change process	I receive information and communication required to cope with this change effectively.			I believe PI will hold an outstanding future after completing this change process.		
	Negative	Neutral	Positive	Negative	Neutral	Positive
Exco	22%	33%	44%	33%	22%	44%
Finance	14%	57%	29%	14%	86%	0%
Acquiring	43%	57%	0%	0%	71%	29%
Projects	14%	29%	57%	0%	29%	71%
Strategy	33%	17%	50%	0%	50%	50%
Business	33%	44%	22%	33%	33%	33%
I.T	38%	25%	38%	25%	13%	63%
Ops	0%	50%	50%	38%	13%	50%
Personalization	10%	80%	10%	0%	70%	30%
Marketing	33%	33%	33%	33%	33%	33%
H.R.	0%	50%	50%	0%	50%	50%
TOTAL	22%	45%	33%	17%	42%	41%

Appendix 5:

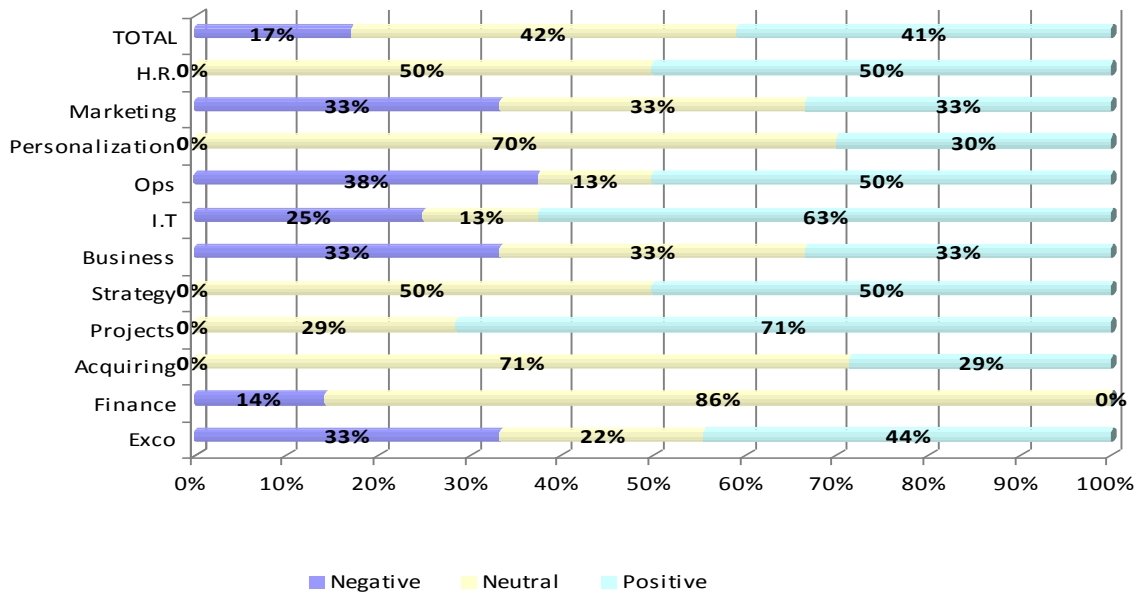
Change Process related outcome (questions' wise)



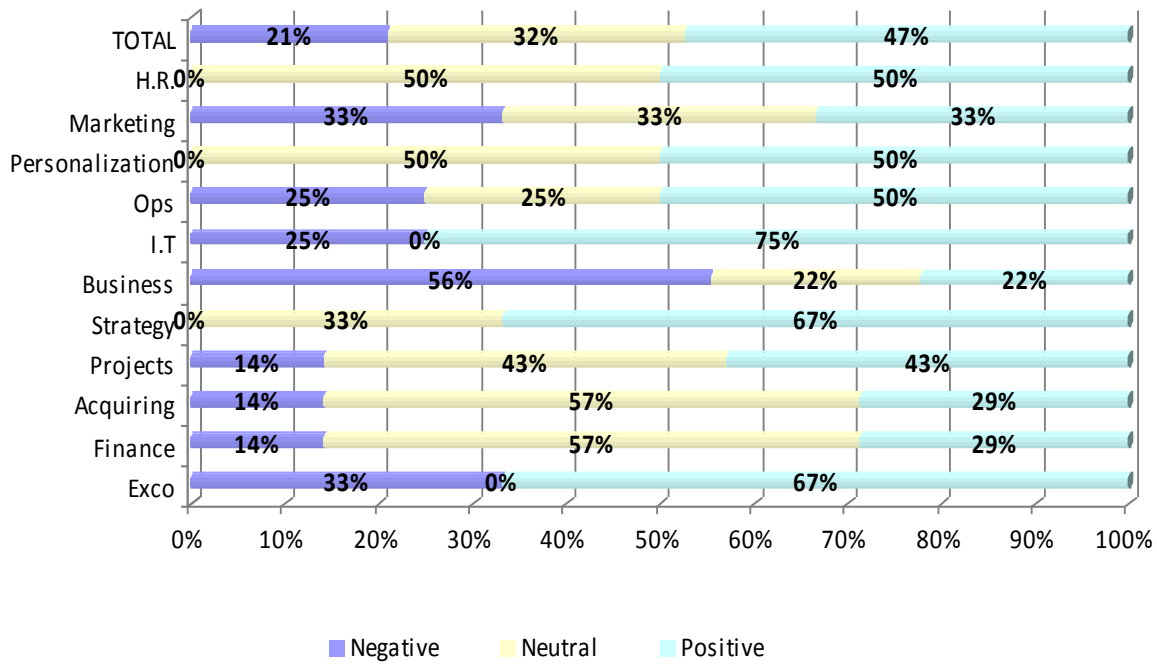
I receive information and communication required to cope with this change effectively.



I believe NI will hold an outstanding future after completing this change process.



NI is making these current changes to compete effectively. NI is making these current changes to compete effectively.

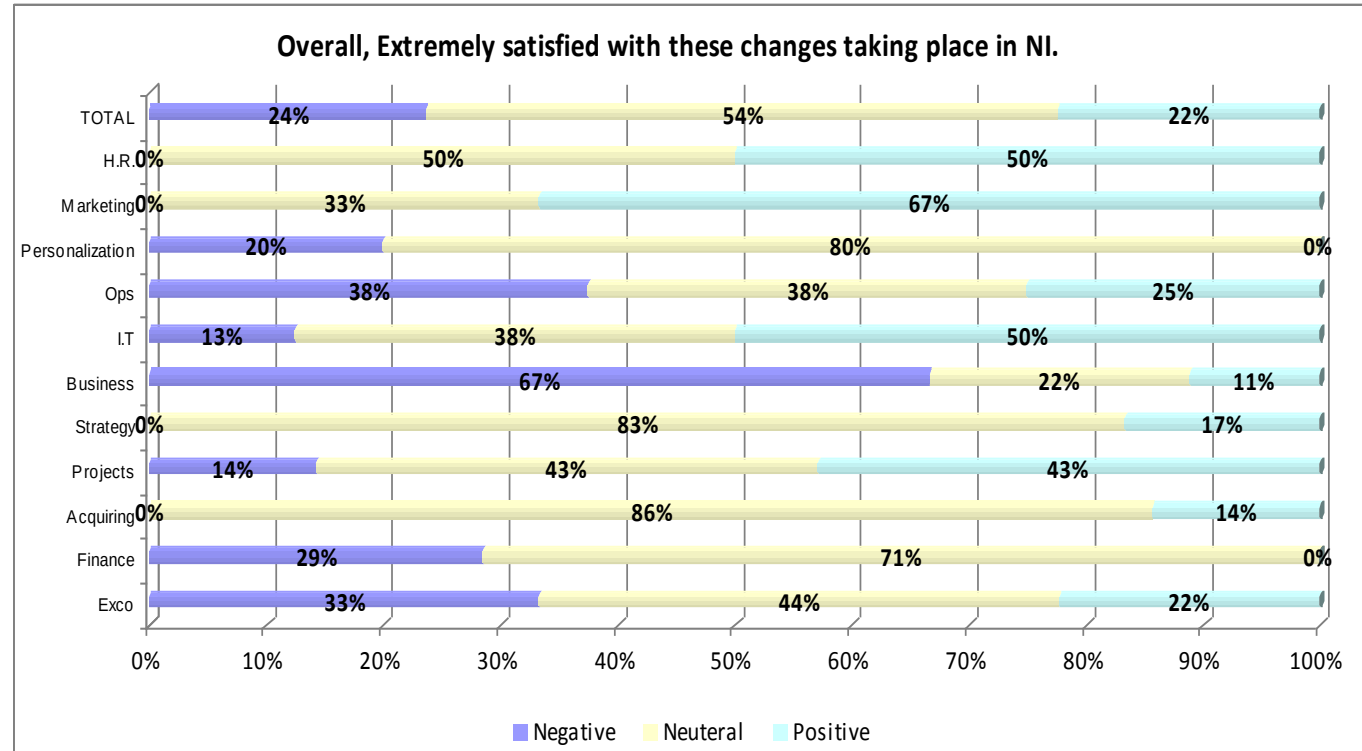
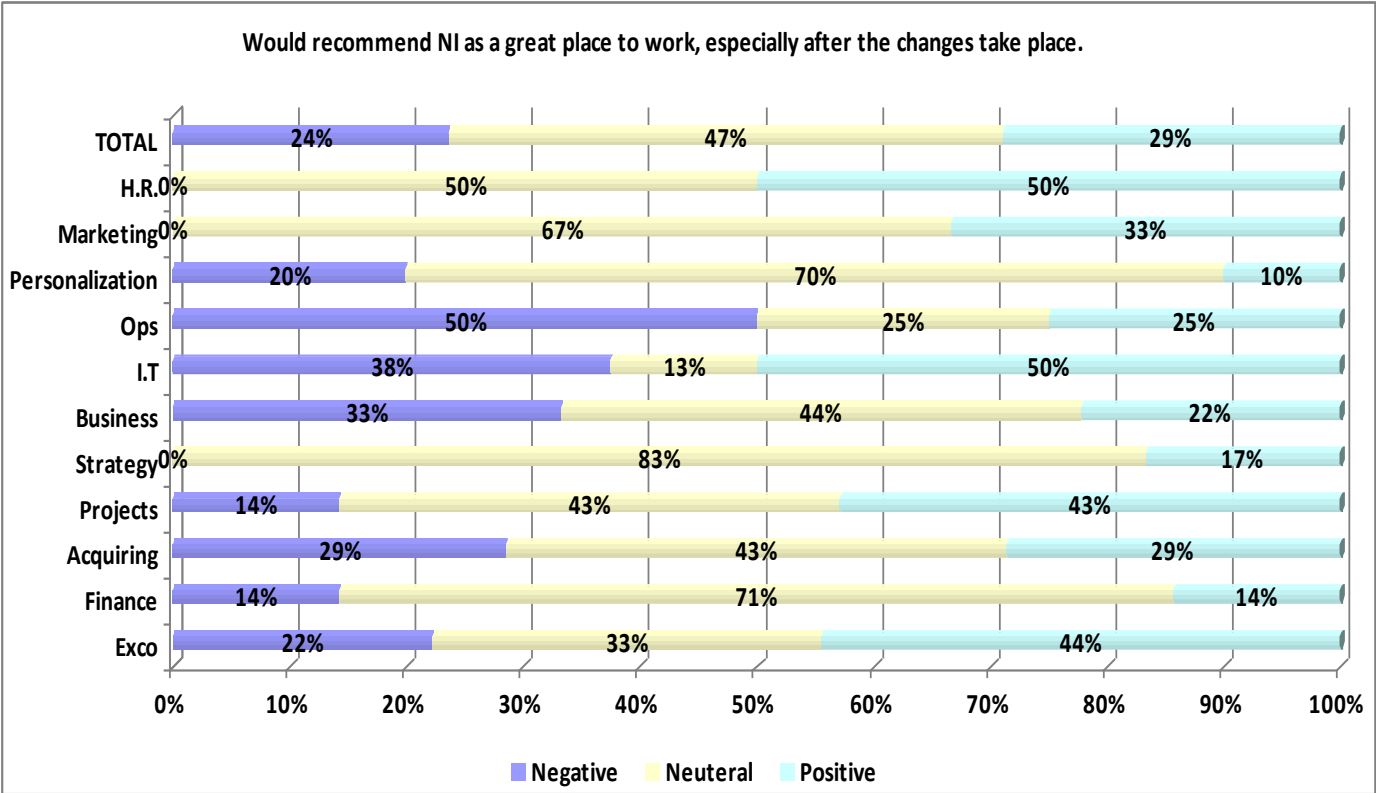


Appendix 6:

Satisfaction Related Results

Satisfaction	I rarely think about looking for a new job, keeping these current changes in mind.			Would recommend PI as a great place to work, especially after the changes take place.			Overall, Extremely satisfied with these changes taking place in PI.		
	Negative	Neutral	Positive	Negative	Neutral	Positive	Negative	Neutral	Positive
Exco	56%	33%	11%	22%	33%	44%	33%	44%	22%
Finance	29%	57%	14%	14%	71%	14%	29%	71%	0%
Acquiring	0%	71%	29%	29%	43%	29%	0%	86%	14%
Projects	57%	29%	14%	14%	43%	43%	14%	43%	43%
Strategy	33%	33%	33%	0%	83%	17%	0%	83%	17%
Business	33%	44%	22%	33%	44%	22%	67%	22%	11%
I.T	63%	13%	25%	38%	13%	50%	13%	38%	50%
Ops	38%	63%	0%	50%	25%	25%	38%	38%	25%
Personalization	40%	40%	20%	20%	70%	10%	20%	80%	0%
Marketing	0%	67%	33%	0%	67%	33%	0%	33%	67%
H.R.	0%	50%	50%	0%	50%	50%	0%	50%	50%

TOTAL	37%	43%	20%	24%	47%	29%	24%	54%	22%
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I rarely think about looking for a new job, keeping these current changes in mind.

